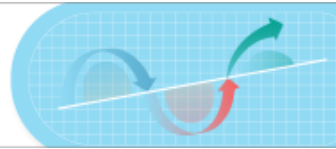


JAPAN MACHINERY

Prefer stocks positioned beyond peak cycle on AI Capex tailwind;
Keyence/THK up to Buy/Neutral, SMC down to Neutral

GS Beyond the Cycle Series

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Goldman Sachs Japan Co., Ltd.**Keyence from Neutral to Buy, THK from Sell to Neutral, SMC from Buy to Neutral**

In light of the January–March quarter results and the FA industry demand trends that have become more apparent recently, we have significantly revised our forecasts and the premiums for calculating 12-month target prices for FA companies in our coverage. The tightness in supply/demand and the accompanying changes in order trends have been significant. We believe many companies will achieve record-high profits through FY3/28E, and a growing number of companies will achieve this as early as FY3/27E. Given that a new peak cycle has begun, and given that the direction of capital allocation policies — a major focus area for investors — has become clearer for companies post recent results, we broadly revise our forecasts and applied multiples for companies in our coverage. We incorporate recent results and adjust estimates for latest trends for our coverage universe, with 12m TPs changing for 9 stocks by -11% to +44%: Okuma from ¥3,700 to ¥3,800, THK from ¥5,200 to ¥7,500, Misumi from ¥3,400 to ¥3,500, SMC from ¥90,000 to ¥80,000, Daifuku from ¥8,600 to ¥9,300, Yaskawa Electric from ¥7,300 to ¥9,200, Omron from ¥6,500 to ¥7,400, Keyence from ¥82,000 to ¥100,000, and Fanuc from ¥5,300 to ¥5,600. Based on the updated sector relative valuation, we **upgrade Keyence from Neutral to Buy** (company's competitive moat to benefit within a tight supply/demand environment + we expect expansion of capital allocation policies), **THK from Sell to Neutral** (benefits from tight supply/demand are likely to more than offset challenges from intensifying competition), and **downgrade SMC from Buy to Neutral** (fundamentals remain strong but uncertainty over margins/ROC/capital allocation policies to weigh on valuations).

The magnitude of AI Capex benefits, led by semiconductor investment, and supply capacity strength and resilience will be key focus

The spring earnings season kicked off with Yaskawa Electric's full-year results announcement, and multiple company management teams have since highlighted

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that demand is rising sharply and that, while still within a controllable range, signs of advance ordering are starting to emerge. We believe this highlights that a peak cycle has already begun. Going forward, we expect the key focus points for investors will be factors that could disrupt this peak cycle, such as price changes of a magnitude that could prompt supply/demand rebalancing, and a buildup of advance orders that could prematurely shorten the cycle. With early signs of the peak cycle emerging, we expect to see typical upcycle earnings trends, including price increase penetration and the accompanying margin expansion, as well as the benefits of strong volume trends supported by robust demand. As a result, we believe sufficient supply capacity will increasingly become an important factor for companies.

Exhibit 1: New/old ratings and target prices for FA coverage names

	Ticker	Old Rating	New Rating	TP Method	Old TP	New TP	Change in TP	Return Potential	TP Base year	Old Premium	New Premium	
Factory capex												
	Okuma	6103.T	Sell	Sell	EV/EBITDA	¥3,700	¥3,800	3%	-8%	FY3/28	-40%	-40%
	CKD	6407.T	Buy	Buy	EV/EBITDA	¥10,000	¥10,000	0%	45%	FY3/28	30%	30%
	THK	6481.T	Sell	Neutral	EV/EBITDA	¥5,200	¥7,500	44%	0%	FY12/27	0%	40%
	Harmonic Drive	6324.T	Buy	Buy	EV/EBITDA	¥10,000	¥10,000	0%	31%	FY3/29	180%	180%
	Misumi	9962.T	Neutral	Neutral	EV/EBITDA	¥3,400	¥3,500	3%	0%	FY3/28	0%	0%
	SMC	6273.T	Buy	Neutral	EV/EBITDA	¥90,000	¥80,000	-11%	20%	FY3/28	50%	20%
	Daifuku	6383.T	Buy	Buy	EV/EBITDA	¥8,600	¥9,300	8%	28%	FY12/29	80%	80%
	Yaskawa	6506.T	Buy (on CL)	Buy (on CL)	EV/EBITDA	¥7,300	¥9,200	26%	23%	FY2/28	60%	90%
	Omron	6645.T	Buy	Buy	EV/EBITDA	¥6,500	¥7,400	14%	31%	FY3/28	20%	20%
	Keyence	6861.T	Neutral	Buy	EV/EBITDA	¥82,000	¥100,000	22%	27%	FY3/28	140%	170%
	Fanuc	6954.T	Sell	Sell	EV/EBITDA	¥5,300	¥5,600	6%	-34%	FY3/28	60%	70%

Note: We have already adjusted estimates/TP for Harmonic drive in our note published on May 14 (<https://publishing.gs.com/content/research/en/reports/2026/05/13/6f1c6fbe-fab1-43ca-9a0e-8366ab3b2b88.html>)

Source: Company data, Goldman Sachs Global Investment Research

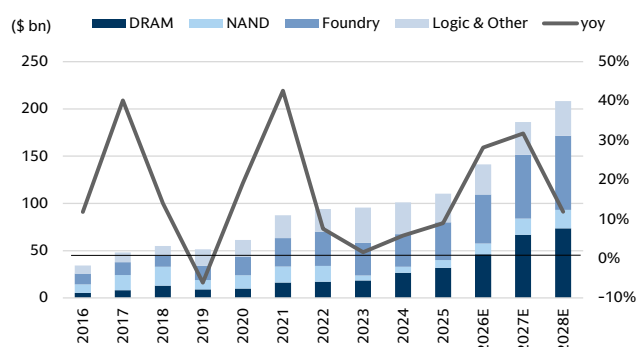
We believe AI Capex Supply-Demand Tightness Has Shifted to the Supply Side

AI Capex is likely to continue for the time being; we expect yoy momentum to peak in FY3/27E to FY3/28E

Multiple companies have mentioned at earnings presentations and elsewhere that April order trends or recent inquiries are at record-high levels, suggesting that activity is at an intense level comparable to the past peak cycles of CY2021–22 and CY2017–18. The most prominent example is arguably Japan Machine Tool Builders' Association's March–April order data, which unexpectedly set new all-time monthly highs, centered in Asia/America. We believe this is driven by the strength of AI Capex demand expanding from semiconductors at the forefront to batteries, servers, and their peripheral components, with benefits extending beyond tech/electronics equipment to general industrial machinery as well. This trend has become more pronounced since the Lunar New Year and appears to have accelerated from April onward. We believe as long as the acceleration in core AI Capex areas, led by semiconductors, remains strong, this trend is likely to continue in the near future.

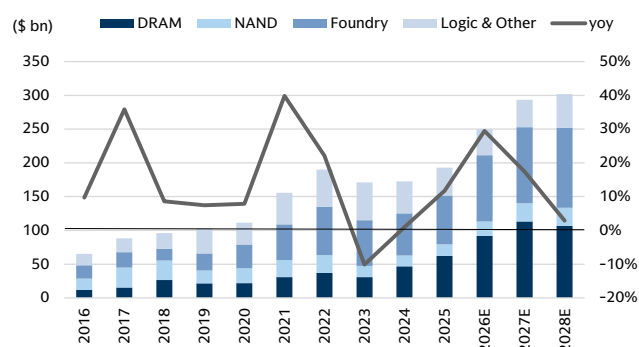
Our global tech team expects semiconductor capex growth of +29% in CY26 / +17% in CY27 / +3% in CY28, and WFE growth of +28% in CY26 / +32% in CY27 / +12% in CY28, projecting a high growth trajectory through at least CY27 ([link](#)). In addition, we forecast that industrial machinery, represented by machine tools, will remain reasonably strong through FY3/27, centered on China. In particular, the benefits of the broadening of AI Capex, primarily in China, are manifesting as upside to orders, and we reiterate our forecast FY3/27 at ¥1.9 trillion (+11.5% YoY) and FY3/28 at ¥1.8 trillion (–5.3% YoY). We expect the peak to be marked in FY3/27.

Exhibit 2: WFE by segment



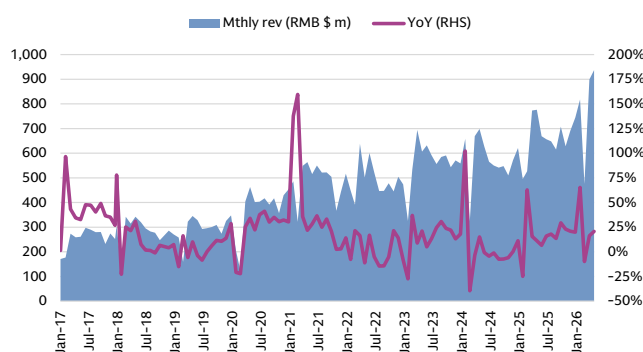
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Semiconductor capex by segment



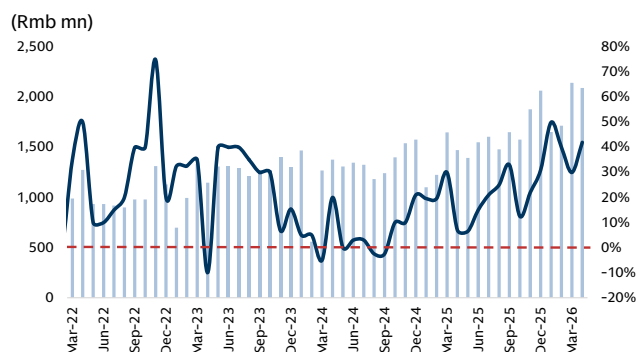
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: AirTAC monthly revenue and yoy



Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 5: Inovance industrial automation monthly orders and yoy growth

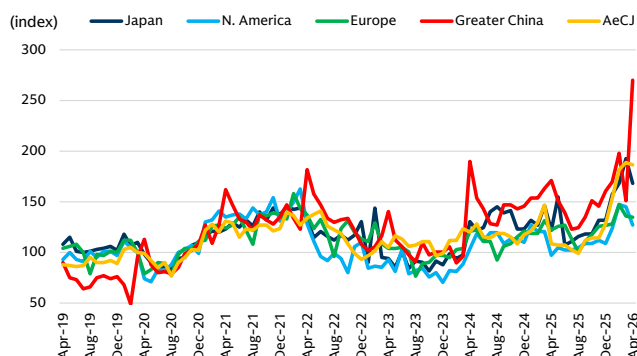


Source: Company data, Data compiled by Goldman Sachs Global Investment Research

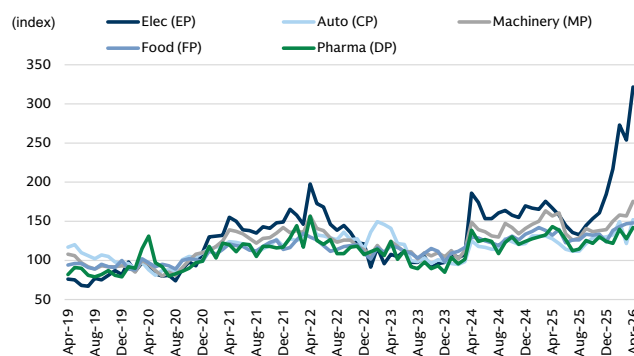
Exhibit 6: JMTBA machine tools orders

Industry forecasts (JPY mn)	3/2017	3/2018	3/2019	3/2020	3/2021	3/2022	3/2023	3/2024	3/2025	3/2026	3/2027E	3/2028E	3/2029E
JMTBA machine tools orders													
Japan	531,556	687,975	703,366	446,619	326,001	566,229	581,667	457,513	444,162	446,096	470,000	490,000	510,000
on monthly basis	44,296	57,331	58,614	37,218	27,167	47,186	48,472	38,126	37,014	37,175	39,167	40,833	42,500
yoy, %	-8.3%	29.4%	2.2%	-36.5%	-27.0%	73.7%	2.7%	-21.3%	-2.9%	0.4%	5%	5%	5%
Overseas	757,722	1,092,364	985,757	652,922	662,503	1,101,273	1,123,956	995,620	1,065,574	1,258,571	1,425,000	1,311,000	1,190,000
USD basis	6,822	9,680	8,739	5,872	6,126	9,610	8,101	6,691	6,782	8,179	9,032	8,361	7,613
on monthly basis	63,144	91,030	82,146	54,410	55,209	91,773	93,663	82,968	88,798	104,881	118,750	109,250	99,167
JPY yoy, %	-7.5%	44.2%	-9.8%	-33.8%	1.5%	66.2%	2.1%	-11.4%	7.0%	18.1%	13.2%	-8.0%	-9.2%
USD yoy, %	1.6%	41.9%	-9.7%	-32.8%	4.3%	56.9%	-15.7%	-17.4%	1.4%	20.6%	10.4%	-7.4%	-9.0%
N America	233,757	289,779	316,177	227,347	180,453	316,723	333,543	322,072	305,229	396,212	436,000	371,000	315,000
USD basis	2,156	2,613	2,852	2,092	1,701	2,818	2,462	2,227	2,000	2,627	2,813	2,394	2,032
JPY yoy, %	-8.7%	24.0%	9.1%	-28.1%	-20.6%	75.5%	5.3%	-3.4%	-5.2%	29.8%	10.0%	-15.0%	-15.0%
USD yoy, %	1.2%	21.2%	9.1%	-26.7%	-18.7%	65.7%	-12.6%	-9.5%	-10.2%	31.4%	7.1%	-14.9%	-15.1%
Europe	178,046	232,723	236,073	151,549	102,800	234,296	230,543	224,642	182,888	206,354	227,000	250,000	275,000
USD basis	1,642	2,098	2,129	1,394	969	2,084	1,701	1,554	1,198	1,368	1,465	1,613	1,774
JPY yoy, %	-1.8%	30.7%	1.4%	-35.8%	-32.2%	127.9%	-1.6%	-2.6%	-18.6%	12.8%	10.0%	10.0%	10.0%
USD yoy, %	8.8%	27.8%	1.5%	-34.5%	-30.5%	115.1%	-18.4%	-8.7%	-22.9%	14.2%	7.0%	10.1%	10.0%
Asia ex Japan	327,661	550,991	416,651	259,394	366,732	529,047	533,598	420,785	546,837	630,921	737,000	675,000	590,000
USD basis	3,023	4,968	3,758	2,386	3,456	4,707	3,938	2,910	3,583	4,184	4,755	4,355	3,806
JPY yoy, %	-11.2%	68.2%	-24.4%	-37.7%	41.4%	44.3%	0.9%	-21.1%	30.0%	15.4%	16.8%	-8.4%	-12.6%
USD yoy, %	-1.7%	64.4%	-24.4%	-36.5%	44.8%	36.2%	-16.3%	-26.1%	23.1%	16.8%	13.6%	-8.4%	-12.6%
of which China	200,661	365,055	236,717	142,036	265,757	360,650	364,599	261,398	356,625	431,823	518,000	466,000	396,000
USD basis	1,851	3,292	2,135	1,307	2,505	3,209	2,691	1,808	2,337	2,864	3,342	3,006	2,555
JPY yoy, %	-12.4%	81.9%	-35.2%	-40.0%	87.1%	35.7%	1.1%	-28.3%	36.4%	21.1%	20.0%	-10.0%	-15.0%
USD yoy, %	-3.0%	77.8%	-35.1%	-38.8%	91.7%	28.1%	-16.1%	-32.8%	29.3%	22.5%	16.7%	-10.0%	-15.0%
of which India	20,213	43,778	48,069	22,400	25,200	36,000	41,149	55,409	77,105	73,396	81,000	85,000	89,000
USD basis	186	395	434	206	238	320	304	383	505	487	523	548	574
JPY yoy, %	-17.1%	116.6%	9.8%	-53.4%	12.5%	42.9%	14.3%	34.7%	39.2%	-4.8%	10.0%	5.0%	5.0%
USD yoy, %	-8.1%	111.7%	9.8%	-52.5%	15.3%	34.9%	-5.2%	26.2%	31.9%	-3.7%	7.4%	4.9%	4.7%
of which Others	106,787	142,158	131,865	94,958	75,775	132,397	127,850	103,978	113,107	125,702	138,000	124,000	105,000
USD basis	985	1,282	1,189	874	714	1,178	944	719	741	834	890	800	677
JPY yoy, %	-7.6%	33.1%	-7.2%	-28.0%	-20.2%	74.7%	-3.4%	-18.7%	8.8%	11.1%	10.0%	-10.0%	-15.0%
USD yoy, %	2.4%	30.1%	-7.2%	-26.6%	-18.2%	64.9%	-19.9%	-23.8%	3.1%	12.5%	6.8%	-10.1%	-15.3%
Others	18,258	18,871	16,856	14,632	12,518	21,207	26,272	28,121	30,620	25,084	25,000	15,000	10,000
yoy, %	38.9%	3.4%	-10.7%	-13.2%	-14.4%	69.4%	23.9%	7.0%	8.9%	-18.1%	-0.3%	-40.0%	-33.3%
Total	1,289,278	1,780,339	1,689,123	1,099,541	988,504	1,667,502	1,705,623	1,453,133	1,509,736	1,704,667	1,900,000	1,800,000	1,700,000
on monthly basis	107,440	148,362	140,760	91,628	82,375	138,959	142,135	121,094	125,811	142,056	158,333	150,000	141,667
yoy, %	-7.8%	38.1%	-5.1%	-34.9%	-10.1%	68.7%	2.3%	-14.8%	3.9%	12.9%	11.5%	-5.3%	-5.6%
LC based calc. since 2020	1,289,278	1,780,339	1,689,123	1,099,541	988,504	1,667,502	1,705,623	1,453,133	1,509,736	1,704,667	1,900,000	1,800,000	1,700,000

Source: Company data, Goldman Sachs Global Investment Research, JMTBA

Exhibit 7: SMC: Monthly order trend by region

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 8: SMC: Monthly order trend by segment

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Whether or not companies possess supply capacity will become the focus point

We reiterate our view that the greater focal point going forward for the FA industry and capital markets will not be demand trends but rather the presence or absence of supply capacity. This is because, in response to demand trends that are rising vertically, supply tightness has in turn become the biggest problem. In semiconductor-related areas, procurement of components for some FA equipment has been seeing some challenges (starting with semiconductor memory and most recently extending to general-purpose ICs). Additionally, as an effect of the macro environment changes stemming from the Middle East situation, procurement difficulties for petrochemical products such as paints and oils have led to advance ordering on the raw materials side emerging early on. The same trend can be seen on the FA equipment side as well, and among some FA product categories — for example, in metal-processed components — ball screws appear to be tightening early on. We believe the trend of advance orders accumulating also needs to be closely watched. During the peak cycle of CY17, approximately ten years ago, supply-demand tightness — triggered by semiconductor memory in the electronics segment and intense demand growth from China in the FA segment — led to overlapping advance orders that amplified the sharp acceleration in momentum. As excessive orders piled up and lead times extended, the tendency toward advance ordering and double ordering intensified further, and in some cases, changeovers and rush orders also overlapped, leading to rising manufacturing fixed costs and labor costs. Whether companies can avoid repeating that pattern — through their ability to maintain strong procurement networks, strong production systems, and proper discipline on lead times and pricing — will be an important fact to watch going forward.

Our Forecasts and Views: Incorporating near-term earnings upside, broadly raising target prices

Primarily driven by a revision of demand assumptions — in particular, the bringing forward of the timing of the peak in momentum to FY3/27 through FY3/28 as described above — we have revised our operating profit forecasts from this fiscal year onward by an average of 2–4%. For Okuma, Omron, and CKD, we introduce our FY3/29 forecasts with this report.

Our operating profit forecasts for FY3/27 through FY3/28 are around 10% above IBES consensus estimates, despite the fact the consensus has already been rising lately on

strong near-term earnings delivery in March quarter. We believe this is because, as described above, record-high or near-record order trends and strong profit generation driven by operating leverage can be expected as early as 1Q of FY3/27. As it is reconfirmed that order upside translates firmly into earnings upside, we expect further share price re-rating.

Regarding our 12-month target prices, for most stocks we have raised them in line with our upward earnings revisions. In addition to the above, recent earnings trends and shifts in the operating environment have also prompted us to revise valuation multiple premiums and investment ratings across a number of names. For Yaskawa Electric, the multiple premium has been revised from +60% to +90%; for Keyence, from +140% to +170%; for THK, from $\pm 0\%$ to +40%; and for SMC, from +50% to +20%. Fanuc is the sole exception where our investment thesis remains unchanged; however, given the sharp recent re-rating of its trading multiple, we have revised our sector-relative multiple assumption from +60% to +70%.

While we see no significant changes to the fundamental risks to our estimates and TPs for FA companies in our coverage, we believe their positioning in terms of supply capacity is likely to be a major focus point in this cycle. We maintain our bullish view on the FA sub-sector.

Exhibit 9: Japan machinery sector: Valuation comparison

Ticker	Rating	2026-05-25						Old Price Target	New Price Target	Return Potential	EBIT (¥bn)												P/E	EV/EBITDA			P/B	ROE				
		Price	MV	ADTV	MV	ADTV	GSE				GSE			GSE			FY3/27E			FY3/28E				FY3/29E								
							FY3/27E				FY12/26E	vs I/B/E/S	FY3/28E	FY12/27E	vs I/B/E/S	FY3/29E	FY12/28E	vs I/B/E/S	FY3/27E	FY12/27E	FY3/29E	FY12/28E		FY3/27E	FY12/27E	FY3/29E		FY12/28E	FY3/27E	FY12/27E	FY3/29E	FY12/28E
Factory capex																																
Okuma	6103.T	Sell	¥4,130	246	2.0	\$ 1,544	\$ 13	¥3,700	¥3,800	-8%	20.0	24.4	-18%	20.0	28.5	-30%	16.5	32.5	-49%	15.7x	15.3x	17.7x	6.5x	6.4x	6.9x	1.0x	0.9x	0.9x	6%	6%	5%	
CKD	6407.T	Buy	¥6,890	459	3.9	\$ 2,882	\$ 24	¥10,000	¥10,000	45%	30.0	32.0	-6%	37.0	37.0	0%	38.0	26.5	44%	21.8x	17.0x	15.9x	11.9x	9.4x	7.6x	2.8x	2.6x	2.4x	13%	16%	16%	
THK	6481.T	Neutral	¥7,470	890	6.5	\$ 5,586	\$ 41	¥5,200	¥7,500	0%	37.0	38.9	-5%	39.0	42.9	-9%	35.0	38.6	-9%	19.3x	28.1x	31.3x	15.5x	14.4x	14.8x	3.0x	2.9x	2.8x	16%	11%	9%	
Harmonic Drive	6324.T	Buy	¥7,660	759	8.8	\$ 4,765	\$ 56	¥10,000	¥10,000	31%	9.0	10.0	-10%	17.0	11.7	46%	23.0	14.6	58%	120.9x	62.8x	45.8x	45.8x	29.9x	23.3x	8.9x	8.0x	7.1x	8%	13%	16%	
Misumi	9962.T	Neutral	¥3,509	911	4.3	\$ 5,721	\$ 27	¥3,400	¥3,500	0%	58.0	63.8	-9%	58.0	85.0	-32%	53.0	99.5	-47%	22.7x	21.9x	23.1x	10.7x	10.1x	10.2x	2.2x	2.1x	2.0x	9%	10%	9%	
SMID-cap average																																
SMC	6273.T	Neutral	¥66,930	4,228	24.7	\$ 26,536	\$ 156	¥90,000	¥80,000	20%	260.0	246.0	6%	290.0	264.0	10%	300.0	256.8	17%	20.7x	18.5x	17.8x	10.8x	9.7x	9.2x	1.9x	1.8x	1.7x	9%	10%	10%	
Daifuku	6383.T	Buy	¥7,251	2,637	12.9	\$ 16,550	\$ 81	¥8,600	¥9,300	28%	120.0	128.0	-6%	147.0	140.6	5%	157.0	145.5	8%	30.4x	24.8x	23.2x	18.4x	14.9x	13.5x	5.1x	4.5x	4.0x	18%	19%	18%	
Yaskawa	6506.T	Buy (on CL)	¥7,481	1,892	24.7	\$ 11,872	\$ 156	¥7,300	¥9,200	23%	73.0	76.0	-4%	90.0	82.4	9%	100.0	87.7	14%	33.0x	26.6x	23.7x	19.5x	16.0x	14.4x	3.7x	3.5x	3.4x	11%	13%	14%	
Omron	6645.T	Buy	¥5,641	1,080	8.2	\$ 6,782	\$ 51	¥6,500	¥7,400	31%	78.0	85.5	-9%	84.0	95.6	-12%	85.0	96.7	-12%	19.2x	16.5x	15.2x	10.4x	9.4x	8.9x	1.3x	1.2x	1.1x	6%	7%	7%	
Keyence	6861.T	Buy	¥78,860	18,515	57.2	\$ 116,212	\$ 361	¥82,000	¥100,000	27%	720.0	768.6	-6%	800.0	841.5	-5%	880.0	825.0	7%	36.0x	32.0x	28.7x	22.9x	20.3x	18.1x	5.1x	4.9x	4.6x	15%	15%	16%	
Fanuc	6954.T	Sell	¥8,428	7,838	43.5	\$ 49,193	\$ 275	¥5,300	¥5,600	-34%	245.0	243.5	1%	200.0	264.7	-24%	185.0	267.0	-31%	36.5x	42.4x	44.7x	23.8x	27.2x	28.0x	4.2x	4.1x	4.0x	11%	10%	9%	
Large-cap average																																
Factory capex average																																

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 10: Japan machinery sector: Share price performance comparison

Ticker	2026-05-25			MV		1 month	3 months	6 months	12 months	2025 YTD		2 years		3 years		5 years		10 years	
	Price	MV	ADTV																
	(¥)	(¥bn)	(¥bn)	(\$mn)	(\$mn)														
						Absolute	vs TPX	Absolute	vs TPX	Absolute	vs TPX	Absolute	vs TPX	Absolute	vs TPX	Absolute	vs TPX	Absolute	vs TPX
Factory capex																			
Okuma	6103.T	¥4,130	250	2.0	\$	1,570	\$	13	-1%	-7%	-10%	-13%	22%	2%	18%	-18%	21%	-14%	19%
CKD	6407.T	¥6,890	459	3.9	\$	2,885	\$	24	25%	18%	25%	21%	173%	128%	205%	112%	166%	88%	119%
THK	6481.T	¥7,470	908	6.5	\$	5,705	\$	41	37%	29%	44%	40%	94%	63%	93%	34%	103%	43%	142%
Harmonic Drive	6324.T	¥7,660	727	8.7	\$	4,569	\$	55	83%	72%	67%	62%	176%	130%	118%	51%	129%	62%	92%
Misumi	9962.T	¥3,509	897	4.3	\$	5,639	\$	27	15%	9%	13%	10%	61%	34%	81%	26%	43%	1%	30%
SMID-cap average						32%	24%	28%	24%	105%	71%	103%	41%	92%	36%	81%	26%	94%	6%
SMC	6273.T	¥66,930	4,226	24.8	\$	26,559	\$	157	-5%	-10%	-12%	-15%	28%	7%	26%	-13%	8%	-24%	-18%
Daifuku	6383.T	¥7,251	2,666	12.9	\$	16,757	\$	82	13%	7%	16%	12%	46%	22%	100%	39%	120%	55%	153%
Yaskawa	6506.T	¥7,481	1,940	24.6	\$	12,195	\$	155	45%	37%	47%	42%	97%	65%	130%	59%	84%	30%	20%
Omron	6645.T	¥5,641	1,109	8.2	\$	6,971	\$	52	11%	4%	7%	3%	50%	25%	49%	4%	5%	-26%	6%
Keyence	6861.T	¥78,860	18,933	57.7	\$	118,991	\$	364	25%	18%	24%	20%	45%	21%	29%	-11%	22%	-14%	10%
Fanuc	6954.T	¥8,428	7,865	43.8	\$	49,428	\$	276	35%	27%	29%	25%	75%	46%	116%	50%	102%	43%	84%
Large-cap average						21%	14%	18%	15%	57%	31%	75%	21%	57%	11%	42%	-1%	40%	-24%
Factory capex average						26%	18%	23%	19%	79%	50%	88%	30%	73%	22%	60%	11%	64%	-10%

Source: LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 11: Our operating profit estimates

(EBIT, ¥mn)	Ticker	Rating	EBIT		Co Est.		GSE						I/B/E/S		
			FY3/26A FY12/25A	FY3/27E FY12/26E	FY3/27E FY12/26E	FY3/28E FY12/27E		FY3/29E FY12/28E		FY3/27E FY12/26E	FY3/28E FY12/27E	FY3/29E FY12/28E			
						vs IBES	vs Old	vs IBES	vs Old				vs IBES		
Factory capex															
Okuma	6103.T	Sell	15,506	19,000	20,000	-1%	5%	20,000	-18%	11%	16,500	-42%	20,200	24,400	28,500
CKD	6407.T	Buy	19,640	24,500	30,000	11%	3%	37,000	15%	0%	38,000	8%	27,000	32,300	35,100
THK	6481.T	Neutral	14,436	31,000	37,000	0%	0%	39,000	-7%	0%	35,000	-23%	36,900	42,000	45,600
Harmonic Drive	6324.T	Buy	2,568	6,200	9,000	32%	0%	17,000	70%	0%	23,000	97%	6,800	10,000	11,700
Misumi	9962.T	Neutral	47,613	55,000	58,000	2%	7%	58,000	-9%	0%	53,000	-38%	57,000	63,800	85,000
SMID-cap average						9%	3%		10%	2%	0%				
SMC	6273.T	Neutral	190,559	219,000	260,000	14%	6%	290,000	18%	2%	300,000	14%	227,300	246,000	264,000
Daifuku	6383.T	Buy	100,816	105,000	120,000	9%	0%	147,000	15%	3%	157,000	12%	110,000	128,000	140,600
Yaskawa	6506.T	Buy (on CL)	47,307	60,000	73,000	12%	4%	90,000	18%	0%	100,000	21%	65,300	76,000	82,400
Omron	6645.T	Buy	59,935	62,000	78,000	4%	8%	84,000	-2%	0%	85,000	-11%	75,000	85,500	95,600
Keyence	6861.T	Buy	595,759		720,000	7%	3%	800,000	4%	4%	880,000	5%	675,000	768,600	841,500
Fanuc	6954.T	Sell	183,763	212,200	245,000	11%	11%	200,000	-18%	5%	185,000	-29%	220,000	243,500	262,300
Large-cap average						10%	5%		6%	2%	2%				
Factory capex average						9%	4%		8%	2%	1%				

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Yaskawa Electric (6506.T): Expect early achievement of FY2/28 OP target; further re-rating from 1Q; Buy

6506.T	12m Price Target: ¥9200	Price: ¥7107	Upside: 29.4%			
Buy - CL	GS Forecast					
		2/26	2/27E	2/28E	2/29E	
	Market cap: ¥1.8tr / \$11.6bn	Revenue (¥ bn)	542.1	604.0	642.0	663.0
	Enterprise value: ¥1.9tr / \$11.9bn	Op. profit (¥ bn) New	47.3	73.0	90.0	100.0
	3m ADTV :¥25.0bn/ \$157.5mn	Op. profit (¥ bn) Old	47.3	70.0	90.0	100.0
	Japan	Op. profit CoE (¥ bn)	48.0	60.0	--	--
	Japan Industrials	EPS (¥) New	135.9	220.9	274.1	308.3
		EPS (¥) Old	135.9	212.1	274.1	308.3
	M&A Rank: 3	P/E (X)	27.9	32.2	25.9	23.1
	Leases incl. in net debt & EV?: No	P/B (X)	2.0	3.6	3.4	3.3
APAC Conviction List	CROCI (%)	8.1	13.8	15.5	16.4	
		2/26	5/26E	8/26E	11/26E	
	EPS (¥)	33.7	48.2	55.9	58.4	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 May 2026 close.

Upcoming catalysts

Given the favorable and buoyant operating environment, we expect early achievement of the company's already-announced medium-term plan targets ([link](#)). We expect high likelihood of updates on its target at the management briefing and new plant tour scheduled for June 1 at the company's headquarters, and that upside in order trends and earnings will likely be confirmed early on at the 1Q results announcement expected in early July. Our operating profit estimates remain 10-20% above I/B/E/S consensus, and we see upside risks to consensus estimates.

Our view

We expect Yaskawa to be a key beneficiary from the expansion of AI capex driven by a tightening supply-demand balance in the MC business ([link](#)). In addition to servo motors, where demand remains strong for semiconductor production equipment and for industrial machinery serving the electronics industry as AI capex broadens demand, North American inverter demand has also been strong. With the company capturing AI capex demand broadly, including HVAC demand for data centers and energy demand (for oil and gas), which can be considered indirect AI demand, we remain positive on the company's positioning.

We expect the company to achieve record-high profits, driven by the MC businesses, the mainstay driver for the company where AI Capex inquiries are currently the strongest. We raise our FY2/27 operating profit estimate to ¥73.0 bn from ¥70.0 bn. We maintain our FY2/28 onward estimates, and our FY2/27-FY2/29 estimates are +12%/+18%/+21% above I/B/E/S consensus.

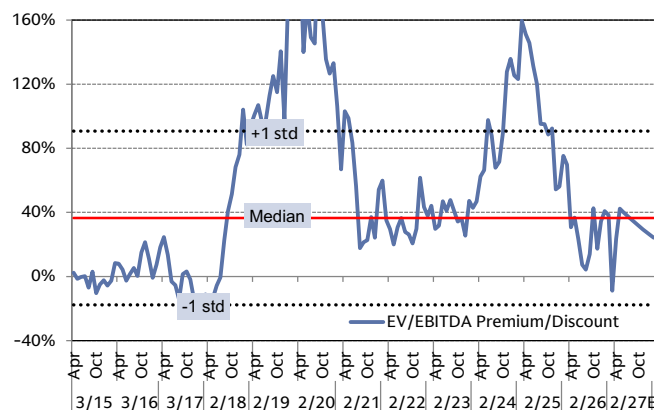
We raise our 12-month target price to ¥9,200 from ¥7,300. We expect record-high profits driven by the MC business, a return of company-wide capital return metrics (such as ROE and CROCI) to near historical highs, and record-high OPM in the MC business to push the stock's multiple higher to the same level as past peak cycles. We raise the premium used in our target price calculation to 90% from 60%, to the same level as

FY2/18, when the company's profitability was strong, driven primarily by the MC business.

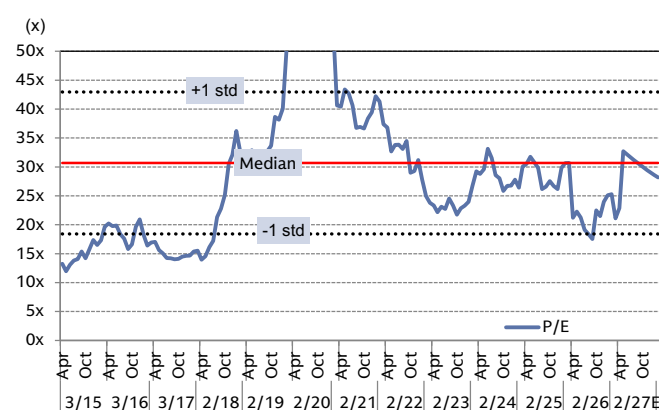
Exhibit 12: Yaskawa Electric: Earnings Summary at a Glance

Yaskawa Electric (6506)	2/2023	2/2024	2/2025	2/2026	2/2027E	2/2028E	2/2029E	2/27 CoE	2/26 1Q	2/26 2Q	2/26 3Q	2/26 4Q	2/27 1QE
(mn JPY, JPY, %)	Actual	Actual	Actual	Actual	New	New	New	New	Actual	Actual	Actual	Actual	New
Financial data	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS	IFRS
Revenues	555,955	575,658	537,682	542,122	604,000	642,000	663,000	580,000	125,642	134,553	135,032	146,895	148,000
Operating profits	68,301	66,225	50,156	47,307	73,000	90,000	100,000	60,000	10,503	12,831	9,861	14,112	17,000
Net profits	51,783	50,687	56,987	35,240	57,300	70,000	77,500	47,000	6,952	11,875	7,662	8,751	12,500
EBITDA	87,970	87,561	70,955	68,391	100,000	119,000	130,000	86,000	-	-	-	-	-
R&D	18,780	21,250	23,780	24,010	24,000	27,000	30,000	24,000	-	-	-	-	-
(As a % of revenues)	3.4%	3.7%	4.4%	4.4%	4.0%	4.2%	4.5%	4.1%	-	-	-	-	-
Depreciation	19,669	21,336	20,799	21,084	27,000	29,000	30,000	26,000	-	-	-	-	-
(As a % of revenues)	3.5%	3.7%	3.9%	3.9%	4.5%	4.5%	4.5%	4.5%	-	-	-	-	-
CAPEX	27,610	37,860	40,670	57,040	58,000	30,000	30,000	58,000	-	-	-	-	-
(As a % of revenues)	5.0%	6.6%	7.6%	10.5%	9.6%	4.7%	4.5%	10.0%	-	-	-	-	-
As a % of revenues													
Operating profits	12.3%	11.5%	9.3%	8.7%	12.1%	14.0%	15.1%	10.3%	8.4%	9.5%	7.3%	9.6%	11.5%
Net profits	9.3%	8.8%	10.6%	6.5%	9.5%	10.9%	11.7%	8.1%	5.5%	8.8%	5.7%	6.0%	8.4%
EBITDA	5.0%	6.6%	7.6%	10.5%	9.6%	4.7%	4.5%	14.8%	-	-	-	-	-
YoY % change													
Revenues	16.0%	3.5%	-6.6%	0.8%	11.4%	6.3%	3.3%	7.0%	-5.1%	4.2%	2.2%	2.0%	17.8%
Operating profits	29.2%	-3.0%	-24.3%	-5.7%	54.3%	23.3%	11.1%	26.8%	-5.5%	8.7%	-13.4%	-10.9%	61.9%
Net profits	35.0%	-2.1%	12.4%	-38.2%	62.6%	22.2%	10.7%	33.4%	-24.4%	37.3%	-72.3%	-23.9%	79.8%
EBITDA	25.1%	-0.5%	-19.0%	-3.6%	46.2%	19.0%	9.2%	25.7%	-	-	-	-	-
OP profit walk analysis	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY
Sales change	8,700	-900	-23,000	4,400	23,900	18,100	10,400	27,100	-1,000	5,100	800	-500	7,700
Product mix	-3,500	11,800	700	-3,600	11,900	4,000	3,500	7,900	1,500	-2,100	-1,800	-1,200	0
Cost change	-9,800	-11,000	1,700	-3,400	-14,000	-5,000	-4,000	-17,700	-500	-1,100	-800	-1,000	-3,500
Forex change	12,100	5,700	4,800	-1,400	5,400	0	0	-3,300	-1,200	-1,400	400	800	2,300
Others	7,941	-7,676	-269	1,151	-1,507	-100	100	-1,307	585	523	-126	169	0
Total	15,441	-2,076	-16,069	-2,849	25,693	17,000	10,000	12,693	-615	1,023	-1,526	-1,731	6,500
Order by Segment													
Motion Control	271,100	193,600	216,700	260,400	-	-	-	-	55,400	58,200	67,900	78,900	85,000
Robots	249,100	224,600	230,600	228,700	-	-	-	-	61,400	58,300	58,200	50,800	56,000
System Engineering	66,300	57,300	38,100	43,400	-	-	-	-	5,400	12,600	7,700	12,000	12,000
Others	30,100	24,900	23,200	19,900	-	-	-	-	5,300	4,900	4,700	5,000	5,000
Total	616,600	500,400	508,600	552,400	-	-	-	-	127,500	134,000	138,500	152,400	158,000
Sales by Segment													
Motion Control	252,126	260,035	239,000	236,000	299,000	319,000	328,000	280,000	55,700	57,200	58,000	65,200	73,000
Servo motor	149,000	130,000	115,000	120,000	164,000	178,000	181,000	145,600	28,000	28,600	29,000	34,900	40,000
Inverter	103,000	130,000	124,000	116,000	135,000	141,000	147,000	134,400	27,700	28,600	29,000	30,500	33,000
Robots	223,829	234,680	237,000	247,000	245,000	263,000	275,000	240,000	55,600	63,600	63,800	64,000	59,000
System Engineering	51,111	55,455	38,352	38,744	40,000	40,000	40,000	40,000	9,300	9,400	8,100	9,300	11,000
Others	28,888	25,486	23,330	20,378	20,000	20,000	20,000	20,000	5,000	4,400	5,100	8,400	5,000
Total	555,955	575,658	537,682	542,122	604,000	642,000	663,000	580,000	125,642	134,553	135,032	146,895	148,000
OP by Segment													
Motion Control	36,193	38,198	23,005	24,384	57,000	66,000	72,000	42,000	5,037	6,987	4,355	8,005	-
Robots	26,126	25,149	23,751	20,418	18,000	27,000	30,000	21,000	5,006	5,536	4,942	4,934	-
System Engineering	2,574	5,637	4,605	4,989	3,300	3,400	3,500	3,200	1,028	911	791	2,259	-
Others	1,787	416	1,591	1,988	1,300	1,300	1,300	1,300	382	553	456	597	-
Elimination	1,619	-3,176	-2,796	-4,472	-6,600	-7,700	-6,800	-7,500	-950	-1,156	-682	-1,685	-
Total	68,301	66,225	50,156	47,307	73,000	90,000	100,000	60,000	10,503	12,831	9,861	14,111	17,000
OPM by Segment													
Motion Control	14.4%	14.7%	9.6%	10.3%	19.1%	20.7%	22.0%	15.0%	9.0%	12.2%	7.5%	12.3%	-
Robots	11.7%	10.7%	10.0%	8.3%	7.3%	10.3%	10.9%	8.8%	9.0%	8.7%	7.7%	7.7%	-
System Engineering	5.0%	10.2%	12.0%	12.9%	8.3%	8.5%	8.8%	8.0%	11.1%	9.7%	9.8%	24.3%	-
Others	6.2%	1.6%	6.8%	9.8%	6.5%	6.5%	6.5%	6.5%	7.6%	12.6%	8.9%	7.1%	-
Total	12.3%	11.5%	9.3%	8.7%	12.1%	14.0%	15.1%	10.3%	8.4%	9.5%	7.3%	9.6%	11.5%

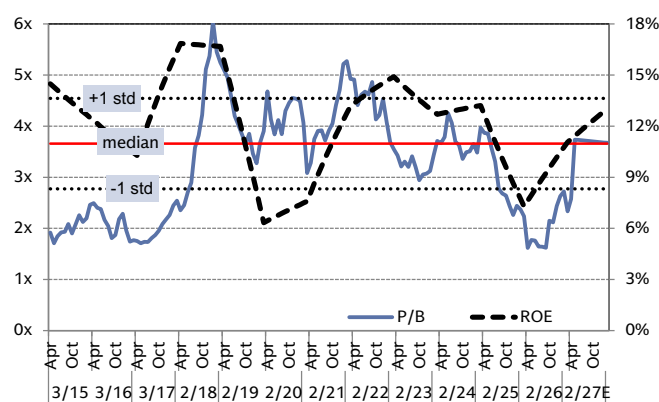
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 13: Yaskawa Electric: EV/EBITDA Premium/Discount

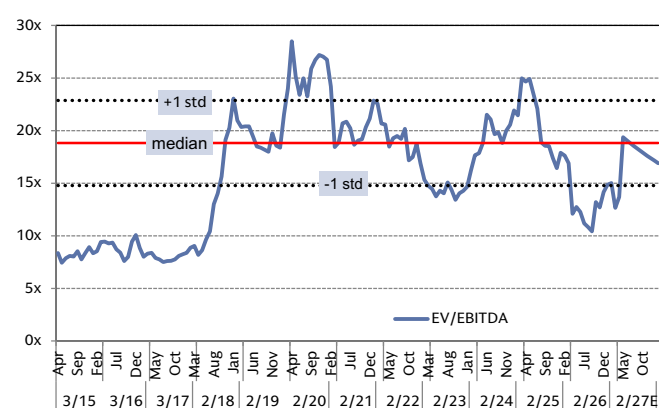
Source: Company data, Goldman Sachs Global Investment Research, LSEG Data & Analytics

Exhibit 14: Yaskawa Electric: 12m fwd P/E

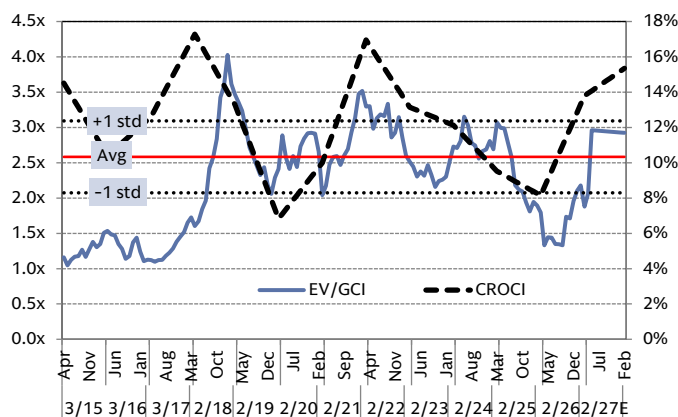
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 15: Yaskawa Electric: 12m fwd ROE vs. P/B

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 16: Yaskawa Electric: 12m fwd EV/EBITDA

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 17: Yaskawa Electric: 12m fwd CROCI vs. EV/GCI

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 18: Yaskawa Electric: CROCI factor decomposition

Yaskawa 6506.T	CROCI	EBITDA				EBITDA margin				GCI breakdown																	
		Revenue		Revenue		Revenue		Revenue		Gross D&A		Fixed assets		Working capital		Receivable		Inventory		Payable, other		Other					
		=	x	=	x	=	+	=	+	=	+	=	+	=	+	=	+	=	+	=	+	=	+				
2009/3	3.1%	=	8.2%	x	1.7x	x	100%	-	74%	-	20%	+	3%	50%	+	4%	+	6%	(	25%	+	16%	-	34%	)	+	16%
2010/3	-0.9%	=	0.4%	x	1.1x	x	100%	-	77%	-	1%	+	-2.2%	50%	+	7%	+	4%	(	36%	+	21%	-	53%	)	+	30%
2011/3	10.5%	=	6.7%	x	1.4x	x	100%	-	74%	-	22%	+	2%	39%	+	6%	+	5%	(	31%	+	20%	-	46%	)	+	20%
2012/3	7.9%	=	7.3%	x	1.4x	x	100%	-	74%	-	21%	+	2%	39%	+	6%	+	9%	(	30%	+	21%	-	41%	)	+	19%
2013/3	7.7%	=	6.8%	x	1.3x	x	100%	-	74%	-	22%	+	3%	42%	+	7%	+	14%	(	32%	+	21%	-	39%	)	+	14%
2014/3	12.1%	=	9.6%	x	1.4x	x	100%	-	70%	-	23%	+	3%	39%	+	7%	+	15%	(	30%	+	22%	-	36%	)	+	10%
2015/3	14.5%	=	10.8%	x	1.4x	x	100%	-	68%	-	24%	+	3%	43%	+	8%	+	15%	(	30%	+	21%	-	36%	)	+	7%
2016/3	10.4%	=	12.1%	x	1.3x	x	100%	-	67%	-	24%	+	3%	41%	+	6%	+	14%	(	29%	+	19%	-	34%	)	+	14%
2017/3	12.6%	=	10.8%	x	1.3x	x	100%	-	69%	-	24%	+	3%	44%	+	8%	+	23%	(	33%	+	20%	-	30%	)	+	5%
2018/2	17.3%	=	14.9%	x	1.4x	x	100%	-	66%	-	22%	+	3%	40%	+	8%	+	23%	(	32%	+	22%	-	31%	)	+	2%
2019/2	13.3%	=	13.5%	x	1.3x	x	100%	-	67%	-	23%	+	3%	43%	+	6%	+	24%	(	29%	+	23%	-	28%	)	+	2%
2020/2	6.8%	=	9.4%	x	1.1x	x	100%	-	70%	-	25%	+	4%	53%	+	6%	+	26%	(	31%	+	25%	-	30%	)	+	8%
2021/2	10.0%	=	11.1%	x	1.0x	x	100%	-	70%	-	23%	+	3%	60%	+	7%	+	25%	(	33%	+	26%	-	34%	)	+	7%
2022/2	17.0%	=	14.7%	x	1.2x	x	100%	-	65%	-	24%	+	4%	53%	+	7%	+	28%	(	31%	+	28%	-	31%	)	+	0%
2023/2	13.1%	=	15.8%	x	1.2x	x	100%	-	65%	-	22%	+	4%	49%	+	2%	+	31%	(	31%	+	33%	-	32%	)	+	4%
2024/2	12.1%	=	15.2%	x	1.1x	x	100%	-	64%	-	25%	+	4%	52%	+	2%	+	39%	(	29%	+	36%	-	26%	)	+	1%
2025/2	9.5%	=	13.2%	x	0.9x	x	100%	-	64%	-	26%	+	4%	60%	+	1%	+	42%	(	29%	+	38%	-	25%	)	+	4%
2026/2	8.1%	=	12.6%	x	0.9x	x	100%	-	65%	-	27%	+	4%	68%	+	1%	+	40%	(	30%	+	39%	-	23%	)	+	3%
2027/2E	13.8%	=	16.6%	x	0.9x	x	100%	-	61%	-	27%	+	4%	67%	+	1%	+	36%	(	29%	+	33%	-	27%	)	+	6%
2028/2E	15.5%	=	18.5%	x	0.9x	x	100%	-	60%	-	26%	+	5%	65%	+	1%	+	32%	(	29%	+	29%	-	26%	)	+	7%
2029/2E	16.4%	=	19.6%	x	1.0x	x	100%	-	60%	-	25%	+	5%	65%	+	1%	+	33%	(	29%	+	29%	-	26%	)	+	6%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Yaskawa Electric

We believe the company is approaching an inflection point in terms of both fundamentals and valuation after a period of subdued performance. In terms of fundamentals, we see operating leverage kicking in with semiconductors and AI Capex driving top-line growth, increased production, and improved utilization, and we believe this will set up an earnings recovery exceeding consensus expectations from FY2/27 onward driven by its mainstay MC businesses.

We believe Yaskawa Electric is entering a phase of meaningful earnings acceleration, underpinned by structural tailwinds from the expanding AI capital expenditure cycle. Recent demand trends reinforce our conviction in this inflection point. With historical peak margins and returns on invested capital now recovering, we expect the stock's valuation premium to re-rate toward prior-cycle highs. We reiterate our Buy rating.

Price Target Risks and Methodology - Yaskawa Electric (6506.T)

Our 12-month target price of ¥9,200 is based on FY2/28E EV/EBITDA, applying the sector-average multiple of 10X and a 90% sector-relative premium.

Key downside risks include (1) a slowdown in semiconductor and AI Capex related business, (2) slower-than-expected results from cost optimization measures, and (3) disappointment in the capital policy and growth strategy in the next medium-term plan and long-term vision.

Keyence (6861.T): Progress on capital returns policy, and business structure evolution; upgrade to Buy

6861.T	12m Price Target: ¥100000	Price: ¥75780	Upside: 32%			
Buy	GS Forecast					
		3/26	3/27E	3/28E	3/29E	
	Market cap: ¥18.2tr / \$114.2bn	Revenue (¥ bn)	1,169.3	1,407.0	1,566.0	1,717.0
	Enterprise value: ¥16.6tr / \$104.3bn	Op. profit (¥ bn) New	595.8	720.0	800.0	880.0
	3m ADTV :¥57.0bn/ \$359.9mn	Op. profit (¥ bn) Old	595.8	700.0	770.0	820.0
	Japan	Op. profit CoE (¥ bn)	--	--	--	--
	Japan Industrials	EPS (¥) New	1,835.6	2,145.1	2,410.6	2,685.4
		EPS (¥) Old	1,835.6	2,086.8	2,320.9	2,497.9
	M&A Rank: 3	P/E (X)	31.5	35.3	31.4	28.2
	Leases incl. in net debt & EV?: No	P/B (X)	4.0	5.0	4.8	4.5
		CROCI (%)	23.4	26.8	28.7	30.3
			12/25	3/26	--	--
	EPS (¥)	458.5	552.6	--	--	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 May 2026 close.

Upcoming catalysts

Investor expectations had been building ahead of the full-year results that Keyence would become more proactive on shareholder returns and disclosures. We believe these expectations were duly met by the announcement of improved disclosure and a change to the articles of incorporation to enable share buybacks. The scale of the new capital policy, including share buybacks, will continue to attract investor attention, in our view. In addition, there are growing opportunities for the stock to be re-evaluated on fundamentals. In the current buoyant environment where supply-demand tightness is in focus, we expect investors to increasingly focus on Keyence's supply structure and business model, which enables it to capture emerging FA demand by maintaining a stable supply framework. We raise our estimates and target price, and upgrade our rating from Neutral to Buy.

Our view

As evidenced by the strong momentum in orders across FA companies, we believe the key focus going forward would be whether companies can continue to fulfill their supply responsibilities smoothly and reliably in an environment where advance ordering is intensifying across the FA industry and delivery lead-time issues could emerge. Also, whether companies can achieve higher prices/mix in response to supply-demand tightness. We think this will be the most important factor in assessing the earnings outlook, and we believe Keyence's business model (same-day delivery model, minimal manufacturing burden, optimal portfolio/service structure, etc.) is well positioned to leverage this inflection. In light of the current demand environment, and assuming that Keyence's pricing/mix will benefit from further improvement opportunities under current conditions, we raise our OP estimates for FY3/27E-FY3/29E by +8%–+23%. We now forecast the gross margin to average above 83% and the operating margin to be maintained consistently above 51%.

We also expect the series of initiatives by Keyence's management, particularly its proactive stance on capital returns and disclosures to continue. On shareholder returns, we believe the company's focus has shifted towards adjusting future cash allocation than

to return the cash it currently holds. Accordingly, we assume a total shareholder return payout ratio of around 60-70% and have factored this into our estimates.

Our 12-month target price is ¥100,000 (previously ¥82,000). We change the basis year for our target price calculation to FY3/28E from the average of FY3/27E-FY3/28E, in line with other FA stocks, and raise the sector-relative premium to 170% from 140%. We believe given Keyence's position to benefit from AI Capex demand, it warrants valuation levels closer to its historical highs when it recorded highest returns, profitability, and growth within its peers. With 27% upside potential to our new 12m TP (vs. 15% avg. upside for our Japan FA coverage), we upgrade our rating to Buy.

Downside Risks

A capital policy enhancement that falls short of our expectations or capital market expectations. We currently estimate that a total shareholder return payout ratio of 60-70%, equivalent to over ¥200 bn/year in share buybacks, is a level that can be achieved without significantly changing the company's balance sheet composition. If the actual level falls well short of this, or if no announcement is made at all, it could be a negative surprise.

A downturn in fundamentals well below our expectations. We expect Keyence's business model to increasingly stand out in the current environment, where supply-demand conditions are particularly tight. Its supply chain strength and ability to deliver products immediately should give it a strong competitive edge in the current environment. If the company is unable to leverage this competitive edge and sales growth comes under pressure, this would pose a significant downside versus our expectations.

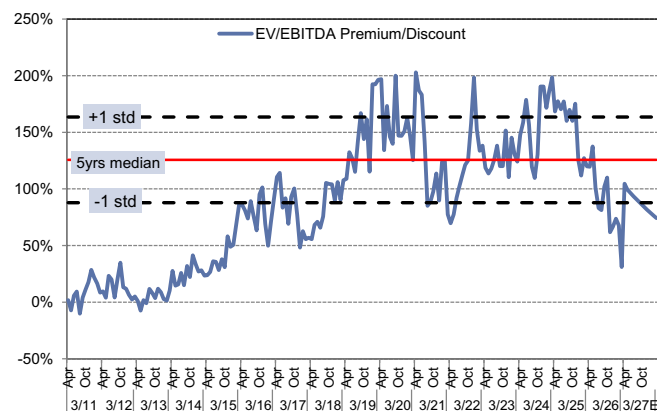
A decline in margins due to higher variable and fixed costs, particularly a miss on 50% OPM. We expect investor focus to remain on Keyence's competitive advantage and its ability to maintain strong profitability each quarter. While the gross margin has remained above 80%, the share price reaction to past quarters when OPM fell below 50% is a case in point, a decline in OPM below our expectation would pose downside risks to our estimates and TP.

Exhibit 19: Keyence: Earnings Summary at a Glance

Keyence (6861.T) (mn JPY, JPY, %)	3/2023	3/2024	3/2025	3/2026	3/2027GSe	3/2028GSe	3/2029GSe	3/2030GSe	1Q 3/26	2Q 3/26	3Q 3/26	4Q 3/26
Financial data	Actual	Actual	Actual	Actual	NEW	NEW	NEW	NEW	Actual	Actual	Actual	Actual
Revenues	922,422	967,288	1,059,145	1,169,289	1,407,000	1,566,000	1,717,000	1,863,000	261,076	284,224	289,305	334,684
Gross profits	754,732	802,505	887,700	970,737	1,166,000	1,305,000	1,440,000	1,574,000	215,664	235,214	240,535	279,324
Operating profits	498,914	495,014	549,775	595,759	720,000	800,000	880,000	960,000	129,301	142,878	144,202	179,378
Net profits	362,963	369,642	398,656	445,185	515,000	572,000	629,000	686,000	92,116	107,843	111,208	134,018
EBITDA	510,414	508,814	565,175	613,059	738,000	819,000	900,000	981,000	133,101	147,578	147,802	184,578
R&D expenses (As a % of revenues)	21,700 2.4%	25,200 2.6%	28,900 2.7%	32,900 2.8%	35,000 2.5%	38,000 2.4%	41,000 2.4%	44,000 2.4%	7,800 3.0%	8,800 3.1%	8,200 2.8%	8,100 2.4%
Depreciation (As a % of revenues)	11,500 1.2%	13,800 1.4%	15,400 1.5%	17,300 1.5%	18,000 1.3%	19,000 1.2%	20,000 1.2%	21,000 1.1%	3,800 1.5%	4,700 1.7%	3,600 1.2%	5,200 1.6%
Capital expenditure (As a % of revenues)	39,300 4.3%	12,500 1.3%	14,200 1.3%	28,300 2.4%	30,000 2.1%	30,000 1.9%	30,000 1.7%	30,000 1.6%	7,800 3.0%	3,800 1.3%	3,400 1.2%	13,300 4.0%
As a % of revenues												
Gross profits	81.8%	83.0%	83.8%	83.0%	82.9%	83.3%	83.9%	84.5%	82.6%	82.8%	83.1%	83.5%
EBITDA	55.3%	52.6%	53.4%	52.4%	52.5%	52.3%	52.4%	52.7%	51.0%	51.9%	51.1%	55.1%
Operating profits	54.1%	51.2%	51.9%	51.0%	51.2%	51.1%	51.3%	51.5%	49.5%	50.3%	49.8%	53.6%
Net profits	39.3%	38.2%	37.6%	38.1%	36.6%	36.5%	36.6%	36.8%	35.3%	37.9%	38.4%	40.0%
Yoy % change												
Revenues	22.1%	4.9%	9.5%	10.4%	20.3%	11.3%	9.6%	8.5%	5.6%	5.9%	11.4%	17.9%
Gross profits	21.5%	6.3%	10.6%	9.4%	20.1%	11.9%	10.3%	9.3%	4.0%	4.1%	10.7%	17.8%
EBITDA	19.6%	-0.3%	11.1%	8.5%	20.4%	11.0%	9.9%	9.0%	4.7%	1.9%	7.7%	18.3%
Operating profits	19.3%	-0.8%	11.1%	8.4%	20.9%	11.1%	10.0%	9.1%	4.8%	1.6%	8.4%	17.4%
Net profits	19.6%	1.8%	7.8%	11.7%	15.7%	11.1%	10.0%	9.1%	-1.5%	12.1%	9.0%	25.4%
Operating profit analysis (All GSe)												
Change in sales	90,774	12,611	55,409	92,415	185,487	126,003	123,310	114,043	17,921	16,880	21,236	34,356
FX change	49,700	26,400	22,400	1,800	13,800	0	0	0	-6,300	-3,500	3,600	8,000
Change in COGS(Kaizen)	-4,033	11,063	8,986	-9,278	-5,846	14,070	15,660	17,170	-3,348	-4,028	-1,656	-124
Fixed cost(mostly SG&A)	-55,572	-53,974	-32,034	-38,953	-71,722	-60,000	-56,000	-55,000	-2,377	-7,034	-12,046	-15,596
Others	0	0	0	0	0	0	0	0	0	0	0	0
Total	80,869	-3,900	54,761	45,984	121,718	80,073	82,970	76,213	5,896	2,318	11,134	26,636
Sales by destination												
Japan	348,079	344,567	372,752	390,066	454,000	502,000	552,000	580,000	85,900	101,200	88,800	114,800
North America/Latin America	191,330	218,780	246,769	282,131	335,000	385,000	423,000	466,000	62,000	67,400	73,400	79,400
Asia	251,262	244,378	275,182	319,336	410,000	450,000	490,000	540,000	72,400	75,600	80,800	90,600
Europe and others	131,934	152,725	158,580	176,930	208,000	229,000	252,000	277,000	40,800	40,100	46,100	49,900
Overseas total	574,343	622,721	686,393	779,223	953,000	1,064,000	1,165,000	1,283,000	175,182	183,040	200,488	219,887
Total	922,422	967,288	1,059,145	1,169,289	1,407,000	1,566,000	1,717,000	1,863,000	261,076	284,224	289,305	334,684
Sales by destination (JPY basis)												
Japan	12.2%	-1.0%	8.2%	4.6%	16.4%	10.6%	10.0%	5.1%	5.2%	3.8%	0.3%	8.6%
North America/Latin America	40.0%	15.2%	13.2%	13.3%	18.7%	14.9%	9.9%	10.2%	5.8%	7.5%	17.7%	16.4%
Asia	19.7%	-2.0%	12.7%	16.7%	28.4%	9.8%	8.9%	10.2%	11.5%	10.1%	21.2%	17.5%
Europe and others	33.7%	18.6%	2.2%	8.4%	17.6%	10.1%	10.0%	9.9%	-4.4%	1.4%	10.1%	18.4%
Overseas total	29.1%	8.4%	10.2%	13.5%	22.3%	11.6%	9.5%	10.1%	5.8%	7.1%	17.2%	11.5%
Total	22.1%	4.9%	9.5%	10.4%	20.3%	11.3%	9.6%	8.5%	5.6%	5.9%	11.4%	17.9%
Sales by destination (LC basis)												
Japan									5.2%	3.8%	0.3%	8.6%
North America/Latin America									14.2%	13.7%	15.0%	16.4%
Asia									17.1%	13.5%	18.9%	17.5%
Europe and others									-2.5%	0.2%	2.2%	18.4%

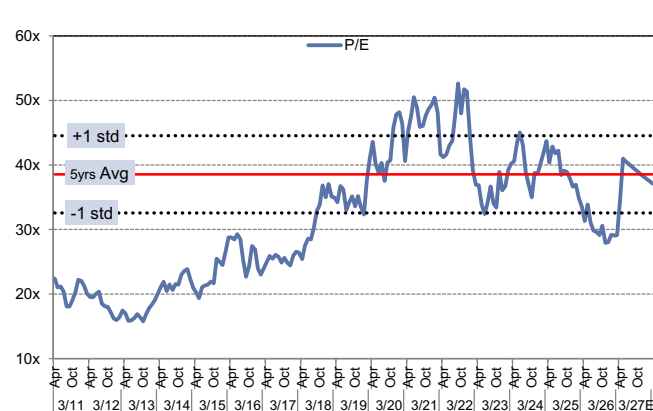
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 20: Keyence: EV/EBITDA Premium/Discount



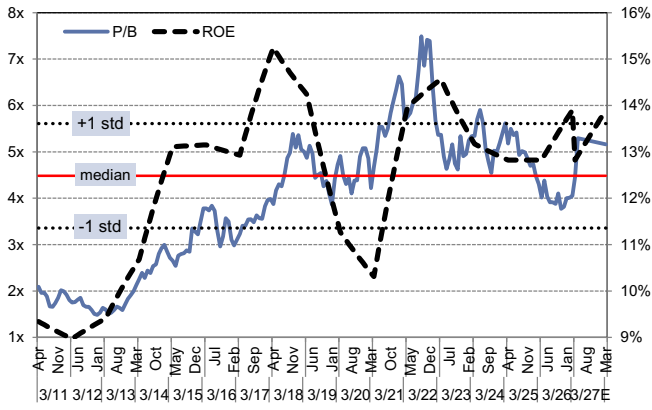
Source: Company data, Goldman Sachs Global Investment Research, LSEG Data & Analytics

Exhibit 21: Keyence: 12m fwd P/E



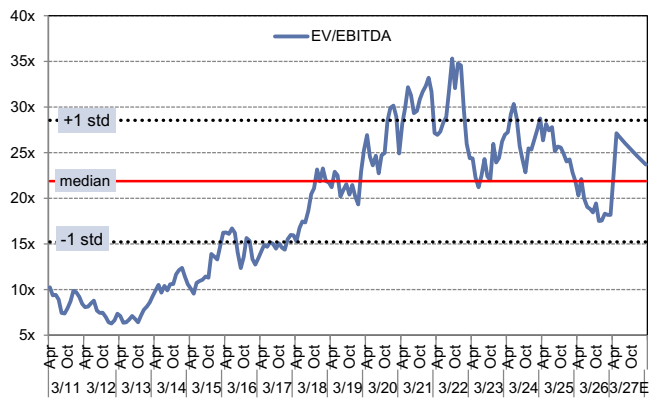
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 22: Keyence: 12m fwd ROE vs. P/B



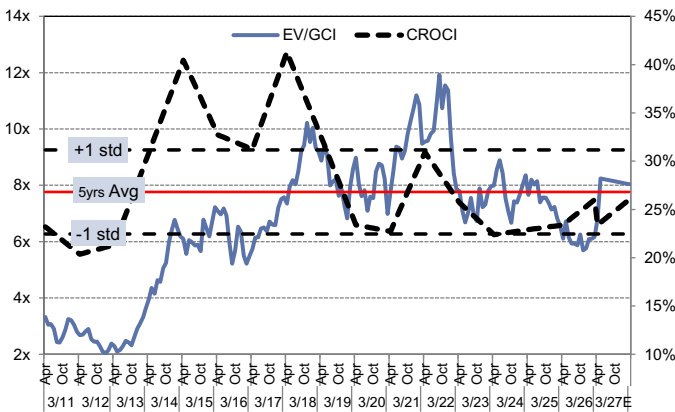
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 23: Keyence: 12m fwd EV/EBITDA



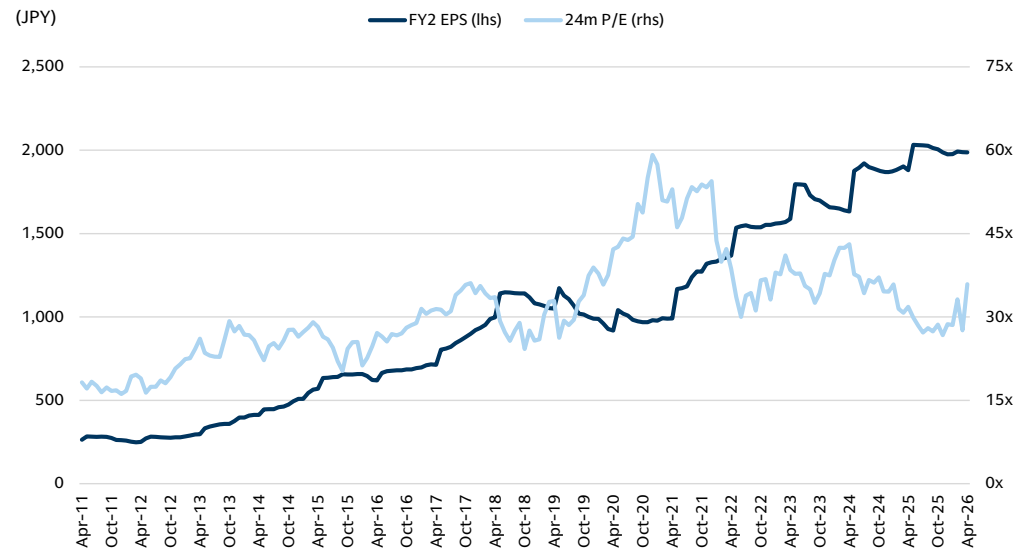
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 24: Keyence: 12m fwd CROCI vs. EV/GCI



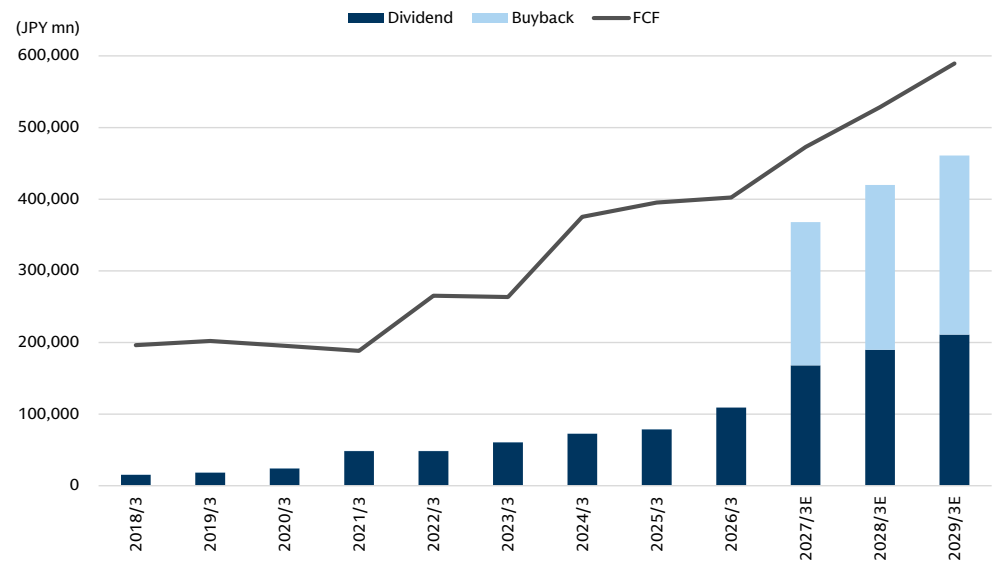
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 25: Keyence: 24m EPS and P/E



Source: Company data, LSEG Data & Analytics, Data compiled by Goldman Sachs Global Investment Research

Exhibit 26: Keyence: Trend of dividend, buyback, and FCF



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 27: Keyence: CROCI factor decomposition

Keyence 6861.T	CROCI					EBITDA margin					GCI breakdown																	
		=	EBITDA	x	Revenue	x	DA CF	Revenue	-	CoGS	SG&A	+	DA	Gross D&A	+	Fixed assets	+	Working capital	(	Receivable	+	Inventory	-	Payable, other	)	+ Other		
		Revenue	GCI	EBITDA	Revenue																							
2009/3	12.4%	=	46.0%	x	0.6x	x	0.5x	100%	-	22%	-	34%	+	2%	25%	+	116%	+	25%	(	26%	+	7%	-	9%	-	6%	
2010/3	16.2%	=	42.6%	x	0.5x	x	0.8x	100%	-	23%	-	36%	+	2%	31%	+	139%	+	28%	(	37%	+	8%	-	17%	-	1%	
2011/3	23.2%	=	48.1%	x	0.7x	x	0.7x	100%	-	23%	-	30%	+	1%	24%	+	102%	+	22%	(	33%	+	6%	-	17%	-	-1%	
2012/3	20.4%	=	47.2%	x	0.7x	x	0.6x	100%	-	24%	-	30%	+	1%	23%	+	92%	+	27%	(	33%	+	7%	-	14%	-	-2%	
2013/3	21.3%	=	46.9%	x	0.7x	x	0.6x	100%	-	24%	-	30%	+	1%	23%	+	95%	+	28%	(	31%	+	7%	-	11%	-	-8%	
2014/3	30.9%	=	50.6%	x	0.8x	x	0.8x	100%	-	22%	-	28%	+	1%	19%	+	87%	+	21%	(	30%	+	7%	-	16%	-	-4%	
2015/3	40.4%	=	53.7%	x	1.1x	x	0.7x	100%	-	20%	-	27%	+	1%	16%	+	53%	+	20%	(	30%	+	6%	-	16%	-	6%	
2016/3	52.7%	=	54.1%	x	1.0x	x	0.6x	100%	-	19%	-	28%	+	1%	15%	+	85%	+	24%	(	30%	+	6%	-	11%	-	-23%	
2017/3	31.2%	=	53.9%	x	0.8x	x	0.7x	100%	-	19%	-	28%	+	1%	14%	+	93%	+	25%	(	31%	+	6%	-	12%	-	-9%	
2018/3	41.3%	=	56.5%	x	0.9x	x	0.8x	100%	-	18%	-	27%	+	1%	13%	+	82%	+	22%	(	30%	+	7%	-	15%	-	-7%	
2019/3	32.4%	=	55.2%	x	0.8x	x	0.7x	100%	-	18%	-	28%	+	1%	13%	+	95%	+	24%	(	29%	+	7%	-	11%	-	-13%	
2020/3	23.4%	=	51.8%	x	0.7x	x	0.7x	100%	-	18%	-	31%	+	1%	14%	+	117%	+	23%	(	29%	+	6%	-	12%	-	-7%	
2021/3	22.7%	=	52.8%	x	0.6x	x	0.8x	100%	-	18%	-	30%	+	1%	15%	+	151%	+	25%	(	35%	+	6%	-	16%	-	-16%	
2022/3	30.9%	=	56.5%	x	0.7x	x	0.8x	100%	-	18%	-	27%	+	1%	12%	+	124%	+	23%	(	33%	+	8%	-	18%	-	-12%	
2023/3	25.7%	=	55.3%	x	0.7x	x	0.7x	100%	-	18%	-	28%	+	1%	15%	+	131%	+	27%	(	32%	+	9%	-	15%	-	-21%	
2024/3	22.4%	=	52.6%	x	0.6x	x	0.7x	100%	-	17%	-	32%	+	1%	17%	+	136%	+	26%	(	32%	+	8%	-	14%	-	-7%	
2025/3	22.9%	=	53.4%	x	0.6x	x	0.7x	100%	-	16%	-	32%	+	1%	16%	+	144%	+	23%	(	30%	+	7%	-	14%	-	-10%	
2026/3	23.4%	=	52.4%	x	0.6x	x	0.8x	100%	-	17%	-	32%	+	1%	20%	+	130%	+	25%	(	32%	+	7%	-	14%	-	-6%	
2027/3E	26.8%	=	52.5%	x	0.7x	x	0.8x	100%	-	17%	-	32%	+	1%	17%	+	108%	+	25%	(	30%	+	7%	-	13%	-	-2%	
2028/3E	28.7%	=	52.3%	x	0.7x	x	0.8x	100%	-	17%	-	32%	+	1%	16%	+	97%	+	26%	(	30%	+	7%	-	11%	-	-2%	
2029/3E	30.3%	=	52.4%	x	0.8x	x	0.7x	100%	-	16%	-	33%	+	1%	16%	+	88%	+	27%	(	30%	+	7%	-	11%	-	-2%	

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Keyence

We are Buy-rated on Keyence. Keyence is an unrivaled player in the global factory automation space, providing high value-add that exceeds offerings of its peers. With its differentiated business model with short delivery times and consulting/sales offerings supported by its high value-add per worker and fast and flexible product development capabilities to meet customers' needs, we believe the company has a well established competitive moat. The company has achieved higher returns and margins relative to the global capital goods and factory automation sectors. However, we believe the current valuation premium (below historical median) relative to the sector, is not factoring in this fully. Key catalysts for re-rating: Company's initiatives to improve capital efficiency.

Price Target Risks and Methodology - Keyence (6861.T)

Our 12-month target price of ¥100,000 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 170% sector-relative premium.

Key downside risks include (1) Disappointment in the company's enhancement towards shareholder returns, (2) slowdown in capex in tech-related , its major client industries, and (3) OPM dropping below 50%, the symbolic standard margin for the company.

THK (6481.T): Strong demand more than offsets market share concerns; upgrading from Sell to Neutral

6481.T	12m Price Target: ¥7500	Price: ¥7229	Upside: 3.7%		
Neutral	GS Forecast				
		12/25	12/26E	12/27E	12/28E
Market cap: ¥878.4bn / \$5.5bn	Revenue (¥ bn)	240.4	302.0	319.0	294.0
Enterprise value: ¥909.5bn / \$5.7bn	Op. profit (¥ bn) New	14.4	37.0	39.0	35.0
3m ADTV :¥6.4bn/ \$40.6mn	Op. profit (¥ bn) Old	14.4	37.0	39.0	35.0
Japan	Op. profit CoE (¥ bn)	16.0	31.0	--	--
Japan Industrials	EPS (¥) New	(623.9)	380.3	260.7	233.9
	EPS (¥) Old	(623.9)	380.3	260.7	233.9
M&A Rank: 3	P/E (X)		19.0	27.7	30.9
Leases incl. in net debt & EV?: No	P/B (X)	1.7	3.0	2.8	2.7
	CROCI (%)	5.9	9.8	7.4	6.8
		3/26	6/26E	9/26E	12/26E
	EPS (¥)	40.1	92.8	102.7	107.1

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 May 2026 close.

What happened

We have been cautious on THK's business environment, particularly the risk of intensifying competition and market share erosion, mainly in the China business. However, the strength of current demand has reached peak levels seen over the past decade, with AI Capex demand expanding not only to semiconductors but across a broad range of industrial machinery, and as a result, order upside has significantly exceeded our assumptions. The sharp rise in manufacturing costs that is likely to emerge going forward also appears likely to be smoothly offset by price hike initiatives backed by tight supply/demand conditions. As a result, we revise our estimates and also raise our valuation premium from the previous 0% to 40% (the current spot level is 60%), the average since November 2024 when the company renewed its capital policy. Our new target price is ¥7,500 (from ¥5,200), and we upgrade our rating from Sell to Neutral on a sector relative basis.

Since downgrading the stock to Sell on 22 April 2022, the stock's has been up 101% (TOPIX 110%).

Our view

The key point of focus going forward will be whether the company can smoothly achieve sales growth and the accompanying profit growth. Although there is some unevenness depending on the product, we feel that the current surge in demand is comparable to the rapid rise in FA demand seen in 2016-2018. Supply tightness risks are already emerging for some products, and concerns about rising material costs and procurement uncertainties stemming from the situation in the Middle East are adding to this. The risk of rising variable costs overall, mainly raw material costs, appears unavoidable. We believe price pass-through will also be inevitable, but the focus will be on whether the company can pass through more than the corresponding amount of cost increases. Furthermore, if pre-orders and double-ordering risks emerge as in past cycles, the focus is likely to shift to topics such as whether the order backlog is healthy. We will continue to monitor the company's ability to maintain discipline in managing orders.

Our estimates incorporate some improvement in sales prices/product mix, and assume that excessive order upside/production upside, and increase of cost will not occur for the time being. Given that production appetite in the semiconductor manufacturing equipment industry, a key end-market, is expected to remain reasonably strong through around mid-2027, we expect elevated earnings levels to continue through the end of 2027. Whether the company's earnings subsequently peak out will likely hinge on whether it can avoid challenges as seen in past cycles — namely, the company had taken excessive advance orders and as a result faced operational issues.

Our 12-month target price is revised from ¥5,200 to ¥7,500, based on a sector-appropriate EV/EBITDA multiple of 10X and a sector-relative premium revised from 0% to 40%. The basis for the 40% premium is as noted above, the average from the announcement of the new capital policy in November 2024 to current levels (the current spot level is over 60%). With 0% upside to our revised 12m TP (vs. 15% avg. upside for our Japan FA coverage), we upgrade our rating from Sell to Neutral.

Upside/downside Risks

Changes in sales price trends and raw material costs beyond our assumptions. Linear motion components, which are metal-fabricated products, have historically seen significant earnings swings driven by large fluctuations in variable cost trends and sales price trends. As supply/demand tightness has become pronounced again in this cycle, attention is likely to focus on sales price trends and variable cost trends. Any material changes vs our assumptions would pose risks to our estimates/TP.

Distribution inventory trends (excess vs. shortage) and lead time trends (lengthening/shortening) as indicators of supply/demand tightness. As these are metal-fabricated products, it is difficult to shorten lead times rapidly, and lead times tend to lengthen when supply/demand is tight. As a result, customers have historically placed pre-orders and double orders. Cyclicalities could be amplified if such events occur. Accordingly, the strength/weakness of near-term earnings may be overstated relative to the underlying fundamentals.

Market share trends in the China market and global markets. We view the intensification of competition as an irreversible trend, led by Hengli in the China market and Hiwin in the global market. Given the current demand strength, all players appear to be benefiting for the time being, but once the supply/demand balance normalizes, competition for market share is likely to intensify again.

THK(€481.T)	12/2025	12/2026E	12/2027E	12/2028E
(mn JPY, ¥PY.%)	IFRS	IFRS	IFRS	IFRS
Financial data	Actual	New	New	New
Sales	240,444	302,000	319,000	294,000
EBITDA	30,915	55,000	59,000	57,000
Operating profits	14,436	37,000	39,000	35,000
Net profits	-69,891	42,600	29,200	26,200
R&D expenses	5,772	6,000	6,000	6,000
(As a % of sales)	2.4%	2.0%	1.9%	2.0%
Depreciation	16,479	18,000	20,000	22,000
(As a % of sales)	6.9%	6.0%	6.3%	7.5%
Capex	15,410	17,000	25,000	25,000
(As a % of sales)	6.4%	5.6%	7.8%	8.5%
As a % of sales				
EBITDA	12.9%	18.2%	18.5%	19.4%
Operating profits	6.0%	12.3%	12.2%	11.9%
Net profits	-29.1%	14.1%	9.2%	8.9%
YoY % change				
Sales	-31.8%	25.6%	5.6%	-7.8%
EBITDA	-19.0%	77.9%	7.3%	-3.4%
Operating profits	-16.8%	156.3%	5.4%	-10.3%
Net profits	NM	NM	-31.5%	-10.3%
Operating profit walk analysis				
Forex impact	-200	2,900	0	0
Change in variable costs ratio	-7,000	4,300	1,600	1,500
Change in fixed costs	-1,000	-9,800	-8,000	4,300
Change in volume	9,600	23,600	8,500	-9,400
Others/adjustments	-3,800	1,600	-100	-400
Change in OP of "Industrials"	-2,400	22,600	2,000	-4,000
Orders by division/region (all in local currency, total cons. figures are G\$e)				
Sub total for major regions (mn JPY, G\$e)	228,000	341,000	312,000	287,000
Japan (mn JPY)	86,700	125,000	116,000	108,000
Americas (mn USD)	198	267	246	230
Europe (mn Euro)	132	157	144	135
Taiwan (mn NTD)	1,236	1,672	1,549	1,443
Mainland China (mn RMB)	3,985	5,978	5,380	4,842
Estimated book to bill	1.05	1.25	1.09	1.08
Sales by Region				
Japan	96,415	126,004	120,000	112,000
Americas	27,168	36,008	39,755	36,892
Europe	21,611	26,766	27,887	25,807
China	71,188	102,331	111,361	100,225
Asia ex China Japan / Other adjustments	24,059	10,893	19,998	19,077
Total	240,444	302,000	319,000	294,000

12/25 CoE	25/12 1Q	25/12 2Q	25/12 3Q	25/12 4Q	26/12 1Q
Full-year	Segment	Segment	Segment	Segment	Segment
New	Prelim	Prelim	Prelim	Prelim	Actual
276,000	52,000	58,800	59,400	70,400	69,043
48,900	-	-	-	-	-
31,000	1,500	4,700	4,100	4,100	7,620
22,700	-	-	-	-	-
6,000	-	-	-	-	-
2.2%	-	-	-	-	-
17,900	-	-	-	-	-
6.5%	-	-	-	-	-
16,800	-	-	-	-	-
6.1%	-	-	-	-	-
17.7%	-	-	-	-	-
11.2%	2.9%	8.0%	6.9%	5.8%	11.0%
8.2%	-	-	-	-	-
14.8%	5.9%	3.7%	10.6%	22.9%	32.8%
58.2%	-	-	-	-	-
114.7%	-42.3%	-9.6%	-10.9%	-6.8%	408.0%
NM	-	-	-	-	-
-	100	-600	0	300	100
-	-1,600	-700	-2,800	-1,900	1,427
-	-500	-700	-100	300	-607
-	1,500	2,400	3,200	2,500	5,900
-	-600	-900	-800	-1,500	-720
-6,000	-1,100	-500	-500	-300	6,100
-	54,000	61,000	52,000	61,000	87,000
-	19,700	22,000	21,300	23,800	29,800
-	49	49	48	52	68
-	32	33	32	35	42
-	323	309	310	294	455
-	963	1,214	802	1,006	1,621
-	1.15	1.16	0.97	0.96	1.40
102,700	20,596	20,797	21,710	22,928	22,773
31,200	6,700	7,200	7,400	7,600	8,600
25,200	5,200	5,200	5,400	5,400	6,700
76,400	14,200	18,800	18,800	18,600	20,900
24,500	5,304	6,603	6,090	15,872	10,070
276,000	52,000	58,600	59,400	70,400	69,043

Exhibit 29: THK: EV/EBITDA Premium/Discount

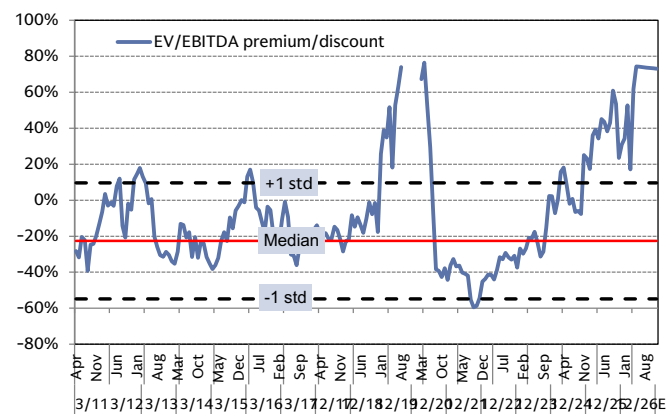
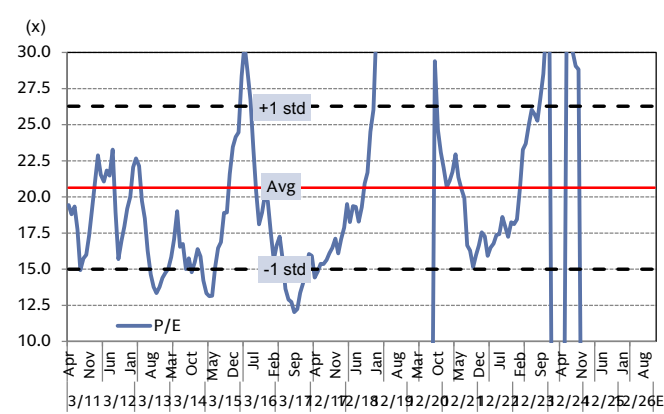
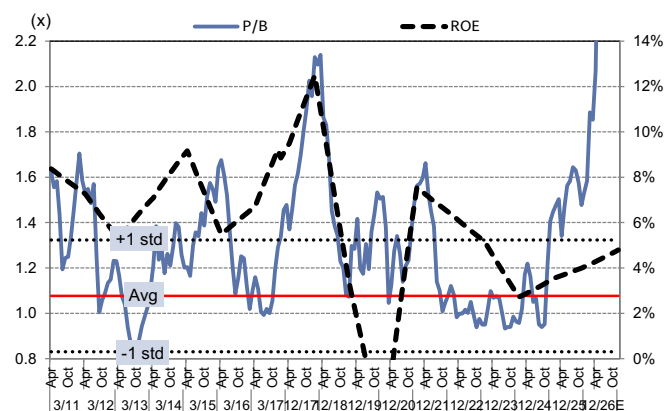


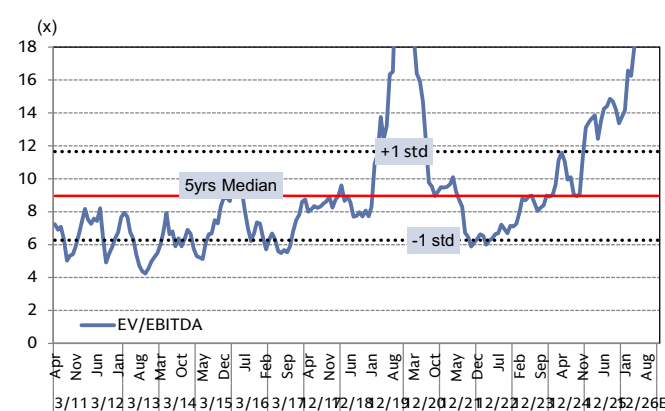
Exhibit 30: THK: 12m fwd P/E



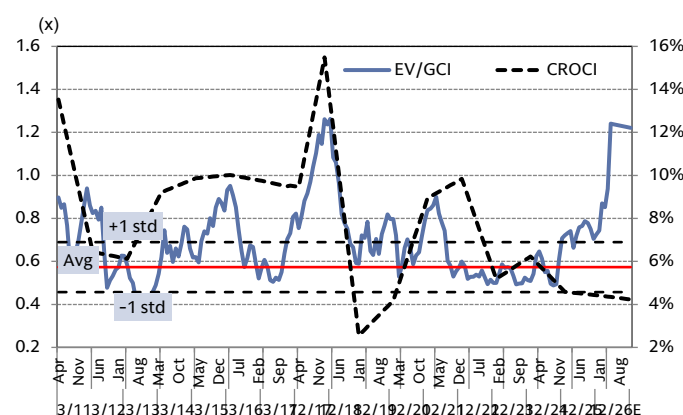
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Exhibit 31: THK: 12m fwd ROE vs. P/B

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 32: THK: 12m fwd EV/EBITDA

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 33: THK: 12m fwd CROCI vs. EV/GCI

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 34: THK: CROCI factor decomposition

THK 6481.T	CROCI					EBITDA margin										GCI breakdown												
		EBITDA		Revenue		Revenue		CoGS		SG&A		DA		Gross D&A		Fixed assets		Working capital		(Receivable + Inventory - Payable, other) + Other								
		=	x	=	x	=	=	=	=	=	=	=	=	=	=	=	=	=	=	=	=							
		Revenue		GCI		EBITDA																						
2009/12	0.8%	=	0.2%	x	0.5x	x	8.6x	100%	-	80%	-	28%	+	8%	176%	+	5%	+	34%	(	35%	+	21%	-	22%	)	+	1%
2010/12	13.5%	=	16.1%	x	0.8x	x	1.1x	100%	-	71%	-	17%	+	5%	106%	+	3%	+	21%	(	30%	+	14%	-	23%	)	+	0%
2011/12	6.4%	=	15.2%	x	0.8x	x	0.6x	100%	-	73%	-	17%	+	5%	110%	+	2%	+	22%	(	27%	+	13%	-	18%	)	+	-4%
2012/12	6.1%	=	12.8%	x	0.6x	x	0.8x	100%	-	74%	-	19%	+	6%	140%	+	3%	+	1%	(	22%	+	14%	-	40%	)	+	19%
2013/12	9.2%	=	15.2%	x	0.6x	x	1.0x	100%	-	71%	-	19%	+	6%	138%	+	3%	+	13%	(	28%	+	16%	-	30%	)	+	4%
2014/12	9.9%	=	18.2%	x	0.7x	x	0.8x	100%	-	69%	-	18%	+	5%	125%	+	4%	+	17%	(	29%	+	15%	-	27%	)	+	1%
2015/12	10.0%	=	15.3%	x	0.7x	x	1.0x	100%	-	72%	-	19%	+	6%	135%	+	3%	+	25%	(	30%	+	16%	-	21%	)	+	-11%
2016/12	9.7%	=	13.0%	x	0.7x	x	1.1x	100%	-	74%	-	17%	+	4%	117%	+	5%	+	10%	(	28%	+	14%	-	32%	)	+	12%
2017/12	9.5%	=	13.9%	x	0.7x	x	1.0x	100%	-	74%	-	16%	+	4%	118%	+	5%	+	17%	(	30%	+	15%	-	29%	)	+	1%
2018/12	15.5%	=	17.8%	x	0.8x	x	1.1x	100%	-	71%	-	15%	+	4%	100%	+	4%	+	16%	(	26%	+	14%	-	25%	)	+	2%
2019/12	2.6%	=	11.9%	x	0.6x	x	0.3x	100%	-	76%	-	18%	+	6%	137%	+	5%	+	16%	(	23%	+	17%	-	24%	)	+	3%
2020/12	4.2%	=	3.2%	x	0.5x	x	2.8x	100%	-	79%	-	25%	+	7%	181%	+	3%	+	26%	(	27%	+	22%	-	23%	)	+	3%
2021/12	8.9%	=	14.5%	x	0.6x	x	1.0x	100%	-	75%	-	16%	+	5%	134%	+	2%	+	26%	(	27%	+	20%	-	21%	)	+	-8%
2022/12	9.8%	=	13.2%	x	0.7x	x	1.0x	100%	-	73%	-	18%	+	4%	116%	+	2%	+	22%	(	25%	+	20%	-	22%	)	+	-1%
2023/12	5.2%	=	12.1%	x	0.6x	x	0.7x	100%	-	77%	-	16%	+	5%	140%	+	2%	+	29%	(	22%	+	23%	-	16%	)	+	-2%
2024/12	6.2%	=	17.1%	x	0.3x	x	1.1x	100%	-	69%	-	23%	+	9%	240%	+	3%	+	48%	(	37%	+	41%	-	29%	)	+	-1%
2025/12	5.9%	=	12.9%	x	0.4x	x	1.2x	100%	-	71%	-	23%	+	7%	203%	+	2%	+	31%	(	26%	+	27%	-	23%	)	+	29%
2026/12E	9.8%	=	18.2%	x	0.5x	x	1.1x	100%	-	67%	-	21%	+	6%	171%	+	2%	+	40%	(	24%	+	25%	-	9%	)	+	-7%
2027/12E	7.4%	=	18.5%	x	0.5x	x	0.8x	100%	-	66%	-	21%	+	6%	173%	+	2%	+	40%	(	24%	+	25%	-	9%	)	+	-7%
2028/12E	6.8%	=	19.4%	x	0.4x	x	0.8x	100%	-	65%	-	23%	+	7%	200%	+	2%	+	45%	(	28%	+	28%	-	10%	)	+	-7%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - THK

We are Neutral-rated on THK, the world's leading supplier in the linear motion (LM) guide segment. Following the divestiture of its non-core automotive business, we view the company's ability to sustain its competitive edge in LM guides as the most critical factor for its long-term outlook.

While we believe intensifying competition from Chinese players will gradually impact

both THK's growth trajectory and margin profile, strong near-term demand will likely offset such concerns. We continue to favor automation companies that retain strong competitive moats across both China and non-China markets, and accordingly see the current valuation levels for THK as fair.

Price Target Risks and Methodology - THK (6481.T)

Our 12-month target price of ¥7,500 is based on FY12/28E average EV/EBITDA, applying the sector-average multiple of 10X and a 40% sector-relative premium.

Key upside/downside risks to our view include fundamental improvement/disappointment in profitability at the linear motion components, and tight/loose supply/demand and higher/lower prices in the Asian/global linear motion components industry.

SMC (6273.T): Strong topline but uncertainty over margins/ROC and capital allocation policy remains; downgrade from Buy to Neutral

6273.T	12m Price Target: ¥80000	Price: ¥66470	Upside: 20.4%		
Neutral	GS Forecast				
		3/26	3/27E	3/28E	3/29E
Market cap: ¥4.2tr / \$26.3bn	Revenue (¥ bn)	842.5	1,011.0	1,066.0	1,118.0
Enterprise value: ¥3.5tr / \$22.0bn	Op. profit (¥ bn) New	190.6	260.0	290.0	300.0
3m ADTV :¥24.6bn/ \$155.2mn	Op. profit (¥ bn) Old	190.6	245.0	285.0	315.0
Japan	Op. profit CoE (¥ bn)	183.0	219.0	--	--
Japan Industrials	EPS (¥) New	2,649.7	3,228.1	3,616.1	3,767.3
	EPS (¥) Old	2,649.7	3,048.7	3,543.6	3,933.5
M&A Rank: 3	P/E (X)	20.4	20.6	18.4	17.6
Leases incl. in net debt & EV?: No	P/B (X)	1.6	1.9	1.8	1.7
	CROCI (%)	11.8	14.5	14.7	14.2
		12/25	3/26	--	--
	EPS (¥)	665.9	716.7	--	--

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 May 2026 close.

What happened

Our Buy rating on SMC has been driven by sharp earnings recovery driven by operating leverage, given that it has the third-highest profit contribution from the semiconductor field among our FA coverage names and has been expanding production capacity. Indeed, in its FY3/26 4Q results, SMC announced an earnings beat, an orders beat, and guidance that, while conservative, was in line with consensus expectations, along with a ¥50 bn share buyback. However, the stock price decline post results likely driven by the cancellation of the anticipated capital allocation policy announcement and medium-term vision. A new management structure was also announced, and at the briefing on May 14, President Takada Yoshiki emphasized that the company intends to prioritize its core business growth strategy for the time being. Comments on the new capital allocation policy and medium-term vision highlighted that the company would consider whether to announce these after the new management team is in place.

In addition to the sharp earnings recovery following the COVID-19 pandemic in 2021, the sector-relative premium assigned to SMC's stock had risen to levels comparable with other FA companies, thanks in part to proactive capital returns policy announcement by the company. This was likely a reflection of not only of expectations for high profitability and growth, but also of investors pricing in expectations that the company's cash management would move in a positive direction. Despite favorable earnings trends, the decline in the share price after latest results highlights potential investor concerns around the company's capital returns policy going forward. Our previous valuation multiple premium was derived from the five-year average sector-relative premium covering the period from the post-COVID earnings recovery and proactive capital market engagement through to the present. With this report, we have recalibrated the premium using a longer historical window of over ten years, incorporating the period prior to that recovery phase. As a result, we are reducing our sector-relative multiple premium from +50% to +20%. Consequently, our 12-month target price is revised downward from ¥90,000 to ¥80,000. We downgrade our rating from Buy to Neutral

based on relative upside within our coverage. Since upgrading the stock to Buy on 21 February 2019, the share price has increased by 72% vs TOPIX 144%. While there were periods in which strong earnings growth and proactive disclosure improvements were well received by the market, the primary driver of underperformance was, in our view, the failure to meet capital market expectations sufficient to sustain multiple expansion — most notably with respect to capital allocation policy and shareholder returns.

Our view

SMC's disclosed fundamentals point to an upturn, as evidenced by strong order trends. Given its position as the world's No. 1 pneumatics manufacturer and strong demand in high value-added areas where it has high market share, led by semiconductors, we continue to expect significant upside to FY3/26 earnings. Although it is necessary to factor in some increase in manufacturing-related costs, as the company itself has noted, we believe the increase in marginal profits from higher volume will more than offset the negatives. In light of the strong demand environment that has become evident, we revise our operating profit estimates by -5% to +6%. We raise our near-term FY3/27 estimate while lowering our estimates through FY3/29, mainly because some customers are increasingly pushing for aggressive pull-forward of orders. We expect SMC's earnings strength to be particularly pronounced from FY3/27 through FY3/28.

On the other hand, it is unclear whether there will be any update on capital allocation policy. While we believe any positive update from the company on its capital returns policy could be seen positively by investors, given SMC's comments that it wants to focus for the time being on how to strengthen top-line growth and actively explore possibilities such as M&A, we expect near-term overhang on share price to remain.

However, we believe the strength of its fundamentals and its decline YTD, provides valuation support. With our 12m TP of SMC implying 20% upside (vs. 15% avg. for Japan FA coverage) and lack of near-term catalysts, we downgrade the stock to Neutral from Buy.

Risks

Expansion/progress or reduction/postponement of capital allocation policy. Our current estimates assume a total shareholder return payout ratio of 60-70% over the next three years. We assume that the level announced in FY3/27 guidance will continue going forward. Any changes to the capital allocation policy vs our assumptions pose risks to our estimates and TP.

Upturn or downturn in demand from key customer industries, mainly semiconductors and electrical machinery. Driven by strong demand drivers, mainly AI capex, SMC and the FA industry are shifting to a phase where a long-awaited improvement in capacity utilization and gearing effects can be expected. Given its strong earnings structure, a recovery in high profitability would be straightforward if underlying demand is present, but conversely, even SMC would see costs running ahead of revenue in the absence of demand.

Cost trends being contained or expanding. Over the past several years, SMC has invested aggressively in expanding supply capacity under the banner of renewal investment and supply chain reinforcement to prepare for the future. With this cycle largely complete, the increase in fixed costs was expected to level off, but this may not

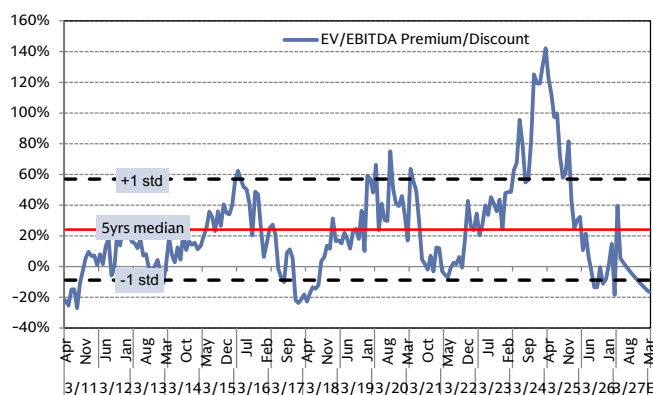
be the case if the company signals a re-acceleration. We will need to continue to pay close attention to cost trends.

Exhibit 35: SMC: Earnings Summary at a Glance

SMC(6273.T) (mn JPY, JPY, %)	3/2023 Actual	3/2024 Actual	3/2025 Actual	3/2026 Actual	3/2027E GSE	3/2028E GSE	3/2029E GSE	3/2027 CoE	1Q 3/26 Actual	2Q 3/26 Actual	3Q 3/26 Actual	4Q 3/26 Actual
Financial data												
Revenues	824,772	776,873	792,108	842,541	1,011,000	1,066,000	1,118,000	1,000,000	200,180	200,092	209,661	232,608
EBITDA	283,967	229,581	224,552	235,404	323,000	354,000	363,000	281,300	53,951	57,020	58,363	66,070
Operating profits	258,200	196,226	190,244	190,558	260,000	290,000	300,000	219,000	44,456	46,324	46,784	52,994
Net profits	224,609	178,321	156,344	167,302	201,800	223,800	230,800	170,000	34,641	44,544	42,440	45,677
EPS	3,482.3	2,780.5	2,453.1	2,649.7	3,228.1	3,616.1	3,767.3	2,692.5	-	-	-	-
R&D expenses	27,361	31,141	33,351	39,986	50,000	55,000	60,000	47,000	9,066	8,539	9,772	12,609
(As a % of revenues)	3.3%	4.0%	4.2%	4.7%	4.9%	5.2%	5.4%	4.7%	4.5%	4.3%	4.7%	5.4%
Depreciation	25,767	33,355	34,308	44,846	63,000	64,000	63,000	62,300	9,495	10,696	11,579	13,076
(As a % of revenues)	3.1%	4.3%	4.3%	5.3%	6.2%	6.0%	5.6%	6.2%	4.7%	5.3%	5.5%	5.6%
Capex	81,592	105,522	107,803	150,254	100,000	100,000	100,000	100,000	47,086	64,122	16,537	22,509
(As a % of revenues)	9.9%	13.6%	13.6%	17.8%	9.9%	9.4%	8.9%	10.0%	23.5%	32.0%	7.9%	9.7%
As a % of revenues												
EBITDA	34.4%	29.6%	28.3%	27.9%	31.9%	33.2%	32.5%	28.1%	27.0%	28.5%	27.8%	28.4%
Operating profits	31.3%	25.3%	24.0%	22.6%	25.7%	27.2%	26.8%	21.9%	22.2%	23.2%	22.3%	22.8%
Net profits	27.2%	23.0%	19.7%	19.9%	20.0%	21.0%	20.6%	17.0%	17.3%	22.3%	20.2%	19.6%
Yoy % change												
Revenues	13.4%	-5.8%	2.0%	6.4%	20.0%	5.4%	4.9%	18.7%	-1.3%	4.1%	7.3%	15.4%
EBITDA	14.3%	-19.2%	-2.2%	4.8%	37.2%	9.6%	2.5%	19.5%	NA	NA	NA	NA
Operating profits	13.3%	-24.0%	-3.0%	0.2%	36.4%	11.5%	3.4%	14.9%	-15.1%	-1.7%	8.1%	11.7%
Net profits	16.4%	-20.6%	-12.3%	7.0%	20.6%	10.9%	3.1%	1.6%	-28.9%	51.1%	0.6%	27.0%
Op. profit analysis	Actual	Actual	Actual	Actual	GSE	GSE	GSE		Actual	Actual	Actual	Actual
Sales	10,900	-39,700	-2,300	14,000	65,000	27,600	25,600	53,900	3,000	2,600	2,400	6,000
Pricing	3,600	-1,300	-2,200	4,800	8,100	3,200	3,400	4,000	-200	0	1,400	3,600
FX	40,900	24,700	15,900	-2,700	28,933	0	0	26,000	-600	-6,100	4,100	-100
SGnA(Fixed costs)	-15,400	2,800	1,800	-9,700	-18,650	-6,800	-13,050	-31,000	-300	-2,700	-2,500	-4,200
Others incl. variables	-9,657	-48,474	-15,582	-6,086	-13,941	6,000	-5,950	-24,458	-9,798	5,381	-1,912	243
Total	30,343	-61,974	-5,982	314	69,442	30,000	10,000	28,442	-7,898	-819	3,488	5,543
Sales by destination												
Japan	184,000	166,000	164,000	163,000	187,000	199,000	209,000	-	39,202	39,541	39,341	44,872
North America	129,000	128,000	120,000	106,000	122,000	127,000	133,000	-	26,490	25,963	25,186	28,692
Europe	139,000	144,000	140,000	160,000	183,000	192,000	202,000	-	36,548	37,747	39,903	45,491
Asia	357,000	320,000	349,000	389,000	506,000	534,000	560,000	-	92,216	90,599	98,917	107,209
of which Greater China	235,000	201,000	222,000	256,000	347,000	364,000	375,000	-	61,387	59,506	65,831	68,966
of which Asia ex China/Japan	122,000	119,000	127,000	133,000	159,000	170,000	185,000	-	30,829	31,093	33,086	38,243
Others/Elimination	15,772	18,873	19,108	24,541	13,000	14,000	14,000	-	5,721	6,242	6,314	6,344
Total	824,772	776,873	792,108	842,541	1,011,000	1,066,000	1,118,000	1,000,000	200,180	200,092	209,661	232,608
Sales by destination, YoY%												
Japan	2%	-10%	-1%	0%	15%	6%	5%					
North America	18%	-7%	-5%	-6%	14%	5%	5%					
Europe	17%	4%	-3%	12%	15%	5%	5%					
Asia	15%	-10%	-2%	9%	29%	6%	5%					
Others	22%	17%	-6%	9%	-11%	0%	0%					
Overseas total	17%	-5%	3%	8%	21%	5%	5%					
Total	13%	-6%	2%	6%	20%	5%	5%					

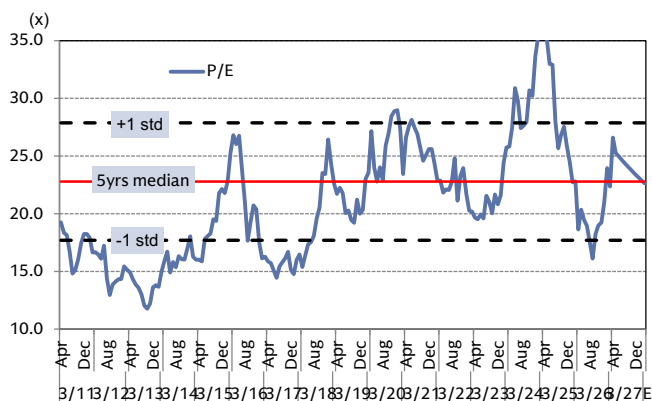
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 36: SMC: EV/EBITDA Premium/Discount



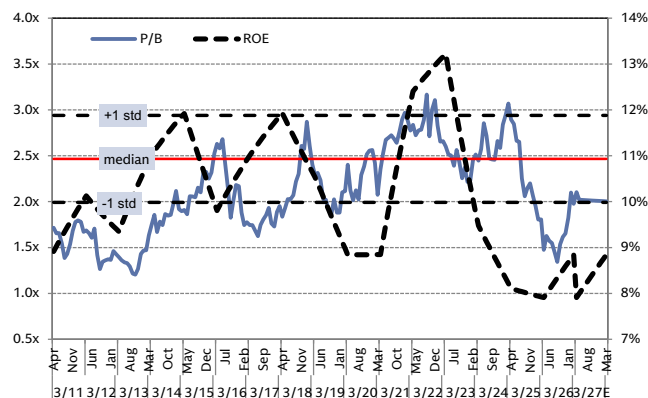
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 37: SMC: 12m fwd P/E



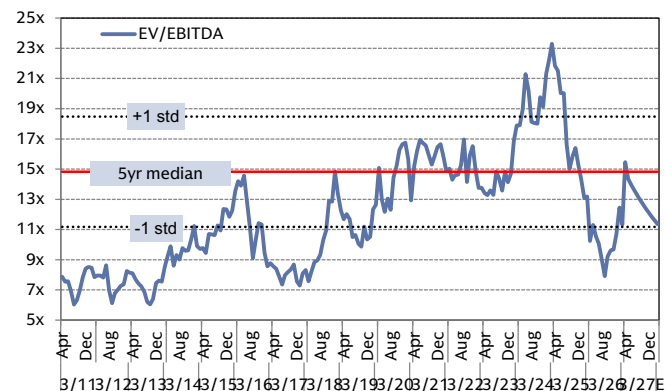
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 38: SMC: 12m fwd ROE vs. P/B



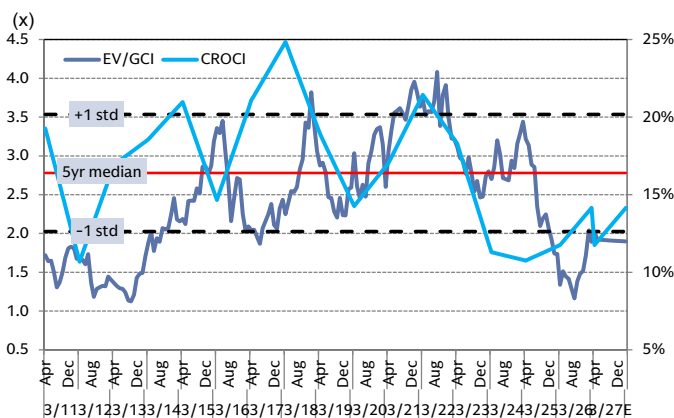
Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 39: SMC: 12m fwd EV/EBITDA



Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 40: SMC: 12m fwd CROCI vs EV/GCI



Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Exhibit 41: SMC: CROCI factor decomposition

SMC 6273.T	CROCI					EBITDA margin								GCI breakdown						
		= EBITDA		Revenue		DACF		Revenue - CoGS		SG&A + DA		Gross D&A + Fixed assets		Working capital		(Receivable + Inventory - Payable, other) + Other				
		Revenue	GCI	EBITDA	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue	Revenue			
2009/3	3.2%	=	22.3%	x	0.6x	x	0.2x	100%	-	55%	-	27%	+ 5%	85%	+ 11%	+ 39%	(17%	+ 48%	- 26%	() + 19%
2010/3	10.9%	=	16.8%	x	0.5x	x	1.3x	100%	-	60%	-	29%	+ 5%	113%	+ 16%	+ 40%	(30%	+ 57%	- 47%	() + 25%
2011/3	19.3%	=	28.4%	x	0.8x	x	0.9x	100%	-	54%	-	21%	+ 3%	77%	+ 11%	+ 27%	(26%	+ 43%	- 42%	() + 15%
2012/3	10.7%	=	29.3%	x	0.8x	x	0.5x	100%	-	54%	-	20%	+ 4%	75%	+ 9%	+ 40%	(25%	+ 50%	- 34%	() + 7%
2013/3	16.9%	=	27.4%	x	0.6x	x	1.0x	100%	-	56%	-	20%	+ 3%	88%	+ 11%	+ 42%	(27%	+ 57%	- 41%	() + 13%
2014/3	18.6%	=	29.7%	x	0.7x	x	0.9x	100%	-	53%	-	21%	+ 3%	79%	+ 10%	+ 30%	(26%	+ 49%	- 45%	() + 20%
2015/3	21.0%	=	30.7%	x	0.8x	x	0.9x	100%	-	51%	-	21%	+ 3%	76%	+ 11%	+ 23%	(26%	+ 42%	- 46%	() + 22%
2016/3	14.7%	=	31.2%	x	0.8x	x	0.6x	100%	-	50%	-	22%	+ 3%	74%	+ 9%	+ 29%	(25%	+ 38%	- 34%	() + 19%
2017/3	21.1%	=	31.9%	x	0.8x	x	0.9x	100%	-	50%	-	21%	+ 3%	74%	+ 11%	+ 44%	(29%	+ 37%	- 22%	() + 2%
2018/3	24.8%	=	35.1%	x	0.9x	x	0.8x	100%	-	48%	-	19%	+ 3%	64%	+ 16%	+ 38%	(28%	+ 35%	- 25%	() + -3%
2019/3	18.9%	=	34.1%	x	0.8x	x	0.7x	100%	-	49%	-	20%	+ 3%	69%	+ 17%	+ 51%	(27%	+ 40%	- 16%	() + -7%
2020/3	14.3%	=	31.0%	x	0.7x	x	0.7x	100%	-	51%	-	22%	+ 3%	80%	+ 14%	+ 58%	(27%	+ 44%	- 13%	() + 0%
2021/3	17.0%	=	31.1%	x	0.7x	x	0.8x	100%	-	52%	-	20%	+ 3%	80%	+ 13%	+ 61%	(32%	+ 45%	- 16%	() + -4%
2022/3	21.4%	=	34.2%	x	0.8x	x	0.8x	100%	-	50%	-	19%	+ 3%	75%	+ 8%	+ 53%	(29%	+ 42%	- 18%	() + -8%
2023/3	18.3%	=	34.4%	x	0.7x	x	0.7x	100%	-	49%	-	20%	+ 3%	75%	+ 10%	+ 61%	(28%	+ 51%	- 17%	() + -12%
2024/3	11.3%	=	29.6%	x	0.6x	x	0.7x	100%	-	53%	-	21%	+ 4%	91%	+ 22%	+ 80%	(26%	+ 67%	- 14%	() + -17%
2025/3	10.8%	=	28.3%	x	0.5x	x	0.7x	100%	-	54%	-	22%	+ 4%	98%	+ 18%	+ 75%	(26%	+ 62%	- 13%	() + 1%
2026/3	11.8%	=	27.9%	x	0.5x	x	0.8x	100%	-	55%	-	23%	+ 5%	122%	+ 14%	+ 76%	(28%	+ 60%	- 12%	() + -15%
2027/3E	14.5%	=	31.9%	x	0.5x	x	0.8x	100%	-	54%	-	21%	+ 6%	109%	+ 12%	+ 69%	(25%	+ 54%	- 10%	() + -6%
2028/3E	14.7%	=	33.2%	x	0.5x	x	0.8x	100%	-	52%	-	20%	+ 6%	111%	+ 11%	+ 69%	(25%	+ 54%	- 10%	() + -5%
2029/3E	14.2%	=	32.5%	x	0.5x	x	0.8x	100%	-	53%	-	21%	+ 6%	112%	+ 11%	+ 70%	(25%	+ 54%	- 9%	() + -4%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - SMC (6273.T)

We are Neutral-rated on SMC, the world's largest pneumatics manufacturer. While we are taking a positive view of the management team's efforts to further increase market share in all regions including China, and to cement the company's position as the No. 1 global maker of pneumatic equipment. Yet the key concern arising today is more about the profitability and the capital deployment - which the direction is unclear at this point.

While we expect the company to sustain its strong top-line performance driven by market share gains and improvement in regional product sales mix, we believe more engagement in capital efficiency policy, together with strengthening in the shareholder return will be critical for further rerating.

Price Target Risks and Methodology - SMC (6273.T)

Our 12-month target price of ¥80,000 is based on FY3/28E EV/EBITDA, applying a sector-average multiple of 10X and a 20% sector-relative premium.

Key upside/downside risks include a downturn in capex sentiment in the tech industries, the key client industries and the degree of engagement in capital efficiency / shareholder return policy.

Price Target Risks and Methodology

Price Target Risks and Methodology for the rest of our Japan FA coverage:

Price Target Risks and Methodology - Fanuc (6954.T)

Our 12-month target price of ¥5,600 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 70% sector-relative premium.

Key upside risks include sales in the FA business recovering to levels above past peaks, greater-than-expected improvement in robot business margins, and share buybacks or other moves to strengthen shareholder returns.

Price Target Risks and Methodology - Omron (6645.T)

Our 12-month target price of ¥7,400 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 20% sector-relative premium.

Key downside risks include weaker-than-expected growth in solutions sales in the IAB segment, a slower-than-expected expansion of the IAB business in developed markets, and a shift to a less favorable business portfolio mix.

Price Target Risks and Methodology - Daifuku (6383.T)

Our 12-month target price of ¥9,300 is based on FY12/29E EV/EBITDA, applying the sector-average multiple of 10X and a 80% sector-relative premium, with the obtained theoretical value discounted back to the midpoint of FY12/26E and FY12/27E with capital cost of 9%.

Key downside risks include slower investment from the tech, e-commerce, and automobile industries.

Price Target Risks and Methodology - Okuma (6103.T)

Our 12-month target price of ¥3,800 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and a 40% sector-relative discount.

Key upside risks include higher-than-expected machine tool orders/market share gains in the automotive industry (including EVs), a weaker-than-expected yen, and a higher-than-expected level of shareholder returns.

Price Target Risks and Methodology - Misumi Group (9962.T)

Our 12-month target price of ¥3,500 is based on FY3/28E EV/EBITDA, applying the sector-average multiple of 10X.

Key risks include stronger/weaker capex sentiment in technology and auto-related industries, intensification/easing of competition in the China market, a stronger/weaker yen, and outlook on optical transceiver product outlook.

Price Target Risks and Methodology - Harmonic Drive Systems (6324.T)

Our 12-month target price of ¥10,000 is based on FY3/30E EV/EBITDA, applying the sector-average multiple of 10X and a 180% sector-relative premium, the same level we saw in the previous peak cycle, with the obtained theoretical value discounted back to the midpoint of FY3/27E and FY3/28E with a capital cost of 10%.

Downside risks to our target price include (1) weaker investment appetite from manufacturers/EMS of tech products, and a decline in appetite for mass production at equipment manufacturers, primarily of industrial robots and SPE, and (2) greater commitment to the auto components business.

Price Target Risks and Methodology - CKD (6407.T)

Our 12-month target price of ¥10,000 is based on the average of FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and relative premium of 30%.

Key downside risks include weaker-than-expected semiconductor demand, a sharp rise in input costs, faster-than-expected increase in fixed costs.

Disclosure Appendix

Reg AC

We, Yuichiro Isayama, Takeru Adachi and Takato Enoki, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Yuichiro Isayama Goldman Sachs Japan Co., Ltd., Takeru Adachi Goldman Sachs Japan Co., Ltd., Takato Enoki Goldman Sachs Japan Co., Ltd..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for CKD, Daifuku, Fanuc, Harmonic Drive Systems, Keyence, Misumi Group, Okuma, Omron, SMC, THK and Yaskawa Electric is/are relative to the other companies in its/their coverage universe: AeroEdge, CKD, Daifuku, Daikin Industries, Fanuc, Harmonic Drive Systems, Hoshizaki, IHI, Japan Steel Works, Kawasaki Heavy Industries, Keyence, Makita, Misumi Group, Mitsubishi Heavy Industries, Okuma, Omron, SKY Perfect JSAT Corp, SMC, THK, Yaskawa Electric

Company-specific regulatory disclosures

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	60%	45%

As of April 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,074 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

THK (6481.T)

Date of report	Target price (¥)	Closing price (¥)
11-May-26	5,200	6,931
09-Mar-26	4,600	4,758
20-Jun-25	2,800	3,868
11-Apr-25	2,700	3,388
19-Nov-24	2,900	3,436
12-Apr-24	2,400	3,588
14-Feb-24	2,200	2,637
08-Aug-23	2,000	2,682

Okuma (6103.T)

Date of report	Target price (¥)	Closing price (¥)
12-May-26	3,700	5,100
09-Mar-26	3,600	3,890
14-Jan-26	3,200	3,920
17-Jul-25	3,600	3,715
20-Jun-25	3,700	3,640
11-Apr-25	2,900	3,010
31-Oct-24	3,100	3,125
07-Oct-24	3,150	3,218
05-Aug-24	6,600	2,794
12-Apr-24	7,700	3,585
08-Jan-24	7,200	3,048
31-Oct-23	8,200	3,074
19-Jun-23	8,500	3,689

SMC (6273.T)

Date of report	Target price (¥)	Closing price (¥)
09-Mar-26	90,000	64,470
12-Feb-26	84,000	71,740
14-Jan-26	76,000	64,060
13-Nov-25	74,000	56,610
13-Oct-25	72,000	52,280
17-Jul-25	65,000	50,440
20-Jun-25	70,000	50,250
14-May-25	78,000	53,110
11-Apr-25	70,000	45,640
14-Feb-25	80,000	54,280
12-Jan-25	86,000	59,870
07-Oct-24	92,000	66,810
09-Aug-24	100,000	64,750
12-Apr-24	104,000	86,230
13-Feb-24	100,000	83,220
20-Jun-23	103,000	81,460

Keyence (6861.T)

Date of report	Target price (¥)	Closing price (¥)
24-Apr-26	82,000	63,180
09-Mar-26	75,000	57,870
29-Jan-26	71,000	58,780
14-Jan-26	66,000	58,830
13-Oct-25	64,000	60,440
17-Jul-25	63,000	55,940
20-Jun-25	82,000	56,180
11-Apr-25	85,000	56,100
31-Jan-25	100,000	67,250
07-Oct-24	95,000	69,400
16-Aug-24	100,000	66,340
02-Jul-24	96,000	71,090
25-Apr-24	95,000	64,580
12-Apr-24	93,000	64,900
02-Feb-24	91,000	66,090
27-Oct-23	90,000	53,050
28-Jul-23	83,000	66,670
20-Jun-23	90,000	69,820

CKD (6407.T)

Date of report	Target price (¥)	Closing price (¥)
15-May-26	10,000	6,790
09-Mar-26	6,800	4,385
13-Feb-26	5,900	4,715
14-Jan-26	4,500	3,750
14-Nov-25	4,200	3,065
13-Oct-25	4,600	3,215
11-Apr-25	3,400	1,839
03-Mar-25	3,700	2,221
12-Jan-25	4,000	2,506
16-Aug-24	5,000	3,185
09-Aug-24	4,300	2,666
10-May-24	4,000	3,055
12-Apr-24	3,900	3,155
08-Jan-24	3,500	2,340
03-Sep-23	2,300	2,061
10-Aug-23	2,400	2,123
20-Jun-23	2,500	2,378

Daifuku (6383.T)

Date of report	Target price (¥)	Closing price (¥)
14-May-26	8,600	7,502
09-Mar-26	7,500	5,359
14-Jan-26	6,400	5,363
13-Oct-25	5,700	4,768
07-Aug-25	5,000	3,976
20-Jun-25	4,500	3,628
11-Apr-25	4,400	3,439
14-Feb-25	5,000	3,155
12-Jan-25	4,500	3,190
08-Nov-24	4,400	2,951
08-Aug-24	4,300	2,367
12-Apr-24	4,100	3,498
08-Feb-24	3,600	2,878
08-Jan-24	3,300	2,755
08-Nov-23	3,200	2,611
13-Sep-23	3,400	2,725
20-Jun-23	3,500	3,017

Fanuc (6954.T)

Date of report	Target price (¥)	Closing price (¥)
26-Apr-26	5,300	6,256
14-Jan-26	5,000	6,935
31-Oct-25	4,300	4,909
13-Oct-25	4,100	4,780
25-Jul-25	3,400	4,220
20-Jun-25	3,300	3,713
11-Apr-25	3,200	3,388
12-Jan-25	3,600	4,116
19-Nov-24	3,400	4,099
31-Oct-23	3,300	3,653
13-Sep-23	3,400	4,081
28-Jul-23	4,500	4,689
13-Jul-23	5,200	4,762

Omron (6645.T)

Date of report	Target price (¥)	Closing price (¥)
09-Mar-26	6,500	4,576
05-Feb-26	5,300	4,199
07-Nov-25	5,200	4,248
13-Oct-25	4,900	4,370
12-Aug-25	4,500	3,807
20-Jun-25	4,600	3,838
08-May-25	5,500	4,251
11-Apr-25	6,000	4,000
12-Jan-25	7,000	4,794
12-Apr-24	7,800	5,327
05-Feb-24	7,500	6,547
08-Jan-24	8,000	6,286
27-Oct-23	6,000	6,318
13-Sep-23	7,000	6,899
27-Jul-23	7,800	8,417
13-Jul-23	8,900	8,587
20-Jun-23	9,500	8,919

Misumi Group (9962.T)

Date of report	Target price (¥)	Closing price (¥)
30-Apr-26	3,400	3,589
09-Mar-26	3,200	2,788
30-Jan-26	2,500	2,552
14-Jan-26	2,400	2,636
31-Oct-25	2,300	2,412
13-Oct-25	2,200	2,320
25-Jul-25	2,100	2,117
20-Jun-25	1,900	1,846
11-Apr-25	2,200	2,190
31-Jan-25	2,700	2,500
12-Jan-25	2,500	2,362
07-Oct-24	2,600	2,660
16-Aug-24	2,500	2,721
26-Jul-24	2,600	2,629
02-Jul-24	2,500	2,729
13-Sep-23	2,400	2,486
28-Jul-23	2,600	2,726
13-Jul-23	3,000	2,764
20-Jun-23	3,400	3,177

Harmonic Drive Systems (6324.T)

Date of report	Target price (¥)	Closing price (¥)
13-May-26	10,000	6,970
09-Mar-26	5,700	3,805
14-Jan-26	5,400	3,835
13-Oct-25	5,000	3,300
14-May-25	4,300	3,835
11-Apr-25	4,500	2,913
07-Feb-25	5,800	4,535
16-Jan-25	5,200	3,930
12-Nov-24	5,000	2,649
07-Oct-24	5,700	3,315
16-Aug-24	6,000	3,955
12-Apr-24	5,500	4,045
08-Jan-24	5,200	3,865
13-Sep-23	5,100	3,365
13-Jul-23	5,600	4,170

Yaskawa Electric (6506.T)

Date of report	Target price (¥)	Closing price (¥)
29-Apr-26	7,300	5,381
10-Apr-26	6,500	4,894
09-Mar-26	6,300	4,325
09-Jan-26	6,000	5,026
13-Oct-25	5,000	4,085
03-Oct-25	3,400	3,178
08-Jul-25	3,000	2,833
20-Jun-25	3,700	3,190
11-Apr-25	3,900	2,881
06-Apr-25	4,600	3,344
10-Jan-25	5,300	4,271
24-Dec-24	5,500	3,950
04-Oct-24	6,400	5,023
16-Aug-24	6,700	4,796
05-Jul-24	7,000	5,972
05-Apr-24	7,500	6,174

Date of report	Target price (¥)	Closing price (¥)
13-Sep-23	7,000	5,725
20-Jun-23	7,800	6,635

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